

PARIKSHA365 — STUDY NOTES

EPFO APFC — 90% Mastery Book

Pedagogically engineered for deep retention under
exam pressure

PSU

v 2026-04

The promise. Read this book end-to-end (with the usual two re-reads + active recall on the embedded prompts) and you will be able to attempt every quiz question in the Pariksha365 pool for this subject with a strong fundamental grasp.

How to use this book

This book is engineered for **one outcome**: scoring $\geq 90\%$ in the UPSC EPFO APFC Recruitment Test, on the **non-aptitude** sections. Aptitude (Quantitative + English + Reasoning) is covered in three separate Pariksha365 books — `arithmetic`, `english`, `reasoning`. Treat them as siblings.

What makes this book different from the 342-page reference book you already have:

- **Narrative over bullets.** Every chapter is a *story* of a topic — why it exists, the problem it solved, the mental model you should carry, then the facts. Reading a story etches; reading bullets evaporates.
- **One mental model per chapter.** You leave each chapter with a single image you can sketch on a napkin. The 30 facts you also memorise hang off that image.
- **Less repetition, deliberately.** If a concept appears in Chapter 3, it is referenced from Chapter 7 — not re-explained. Re-explanation feels reassuring but produces *familiarity, not recall*.
- **Trap pairs surfaced explicitly.** Every confusion the exam exploits (PoW threshold vs MW threshold, Sec 7A vs 7Q vs 14B, DPSP vs FR) is shown side-by-side with the cue that resolves it.
- **Active recall built in.** Every chapter ends with five questions. If you can't answer them in 60 seconds, you haven't learnt the chapter — re-read the affected section, not the whole thing.

Read in order. Each chapter assumes the previous one. The mental model in Chapter 1 (EPF Ecosystem) is needed in Chapter 2 (Labour Law Universe), which is needed in Chapter 3 (Wages-Welfare), and so on.

Spaced revision schedule. Read Day 1, revise Day 3, revise Day 9, revise Day 25. The chapter takes 30 minutes the first time; 8 minutes on revision; 3 minutes the fourth time. That's how it lasts.

Index — Table of Contents

Ch	Title	What it owns of the APFC paper
1	The EPF Ecosystem — Act, EPS, EDLI, SS Code	EPF/EPS/EDLI (~18 Qs)
2	The Labour Law Universe — IDA, TU Act, Standing Orders, IR Code	Industrial Relations (~25 Qs)
3	The Wages-Welfare Pentad — Wages, Bonus, Gratuity, Maternity, ESI, EC, BOCW, ISMW	Welfare/Wages laws (~22 Qs)
4	The Constitution-Labour Bridge — Articles, Schedules, Lists, DPSP	Polity (labour articles) (~10 Qs)
5	Polity Beyond Labour — Parliament, Judiciary, Const Bodies, Emergency	Polity (rest) (~18 Qs)
6	The Indian Economy Story — Income, Money, Budget, Inflation, BoP	Economy + Banking (~15 Qs)
7	The Accounting Spine — Principles, Books, Final Accounts, Inventory, Cash Flow	Accounting (~12 Qs)
8	Auditing Demystified — Standards, Sections, Fraud reporting	Auditing (~5 Qs)
9	Insurance + Statistics Refresher	Insurance (~5 Qs) + Stats (~4 Qs)
10	Modern India Story 1857-1947 — One Continuous Narrative	Modern History (~10 Qs)
11	Ancient + Medieval India + Culture	Ancient/Medieval + Culture (~8 Qs)
12	General Science Survival — Physics + Chemistry + Biology	Science (~12 Qs)
13	Current Affairs Framework + Govt Schemes Master	Current Affairs (~12 Qs)
14	Computer Applications & Cyber Security	Computers (~6 Qs)

Approximate APFC RT coverage of this book: **~110 Qs of the 120-Q paper**. The remaining ~10 Qs (Quant + English + Reasoning pure-aptitude items) come from the sibling books.

CHAPTER 1 — The EPF Ecosystem

What you must know after reading this chapter: the lifecycle of a single rupee that an employee earns — where it splits, who collects it, who promises what when the employee retires/dies/leaves — and why the EPF Act 1952 was even needed.

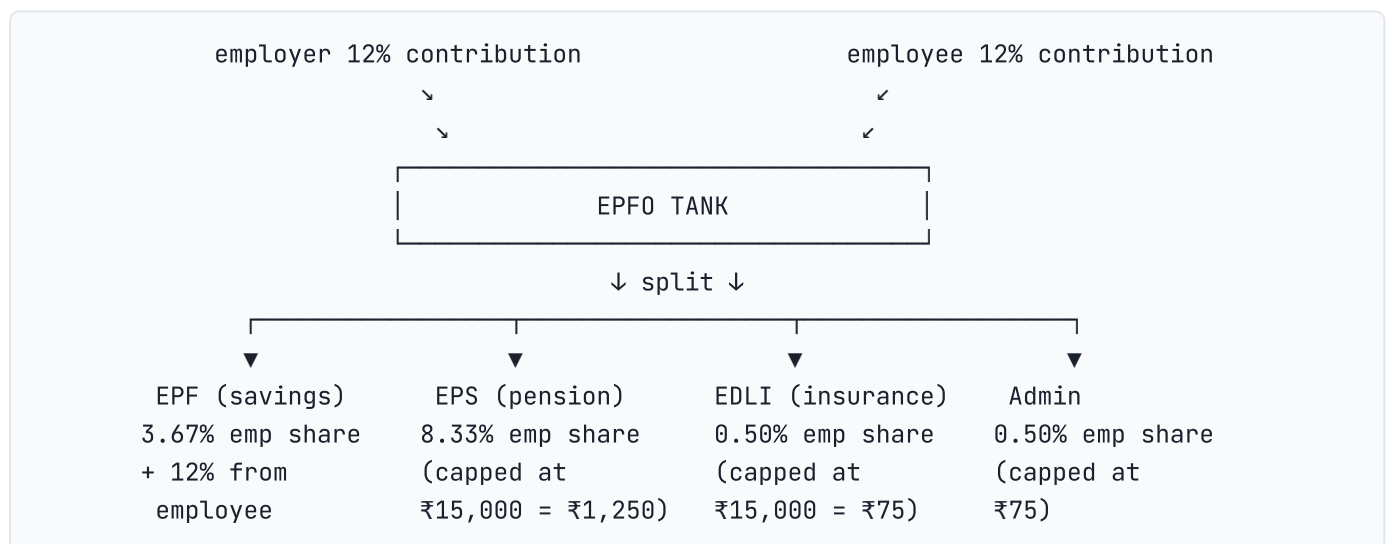
1.0 The 60-second picture

In 1952, when the EPF & MP Act was passed, India faced a quiet crisis: an industrial worker in a Bombay textile mill or a Bengal jute factory had **no cushion** when his working life ended. He would simply stop earning and lean on his sons. If he died young, his widow had nothing. The government solution was elegant — **make the worker save now, make the employer match it, lock that pool**, and **promise three things**: a lump sum when you retire, a monthly pension to your family, and a free life-insurance cover while you work. That triad — **Provident Fund + Pension + Insurance** — is the EPF Ecosystem.

Every rule in the next 200 pages of the Act is a refinement of *how* to do those three things fairly.

1.1 The mental model — three taps and one tank

Picture a wage of ₹15,000 arriving each month. From it, **two taps** pour into a single tank (the EPFO):



Hold this picture in your mind. Every numerical question on EPF, EPS or EDLI is solved by asking: "*Which tap, which sub-account, what cap?*"

The four sub-accounts each have a personality: - **EPF** — the worker's piggy bank. Compounds at the EPF interest rate (8.25% for FY 2024-25). Returned as a lump sum. - **EPS** — the pension promise. Pays a monthly pension after 58, calculated by a formula (we'll meet it shortly). - **EDLI** — the insurance. Pays the family up to ₹7 lakh if the worker dies *in service*. - **Admin** — EPFO's running cost. Worker never sees it.

That single tank diagram is your scaffold for the entire EPF Ecosystem.

1.2 The story

Step 1 — Who is covered? Any establishment in **Schedule I** of the Act with **20 or more employees** is mandatorily covered. Smaller establishments can join voluntarily under **Section 1(4)**. Once covered, the establishment cannot un-cover itself even if numbers drop below 20 — coverage is *sticky*.

Step 2 — Who pays? Both the employee and the employer pay **12%** of *basic wages + DA + retaining allowance* each month. Note carefully — house rent allowance, bonus, overtime, and commissions are excluded from the contribution base. This single rule has produced more litigation than any other (see *Surya Roshni*, 2019, where the SC held that all *universally paid* allowances are part of basic wages, sweeping in many "allowances" employers had used to dodge contributions).

EXAM ALERT

⚠ TRAP — PF contribution is 12% of Basic + DA, NOT Gross Salary: This is the most common numerical trap in APFC papers. Gross salary includes HRA, bonus, overtime, transport allowance etc. — none of these form the contribution base. The base is **Basic wages + Dearness Allowance + Retaining Allowance** only. If a question gives Gross = ₹30,000 with Basic = ₹18,000 and DA = ₹5,000, the contribution base is ₹23,000, NOT ₹30,000.

KEY FACT

Mnemonic — EPFO's Ministry: EPFO is under the **Ministry of Labour and Employment (MoLE)**. Remember: "**Labour Laws = Labour Ministry**". Examiners sometimes offer "Ministry of Finance" or "Ministry of Commerce" as trap options. The Central Board of Trustees (CBT) is chaired by the **Union Minister of Labour and Employment** — same ministry.

Step 3 — How does the employer's 12% split? Of that 12%: - **8.33%** goes to **EPS** (the pension scheme) — but only up to a wage of **₹15,000** (i.e. max ₹1,250 per month). - **The remainder** (12% – 8.33% = 3.67% if wage ≤ ₹15,000; or the full 12% if wage exceeds the cap and the worker has *not* opted for higher pension) goes to **EPF**. - Separately, the employer pays **0.50% as EDLI** (capped at ₹75) and **0.50% as Admin** (capped at ₹75). The employee pays nothing extra towards EDLI or Admin.

Step 4 — When can the worker get the money out? - **EPF:** full lump sum at retirement (age 58). Partial advances are permitted for housing, marriage, illness, education — the EPFO has progressively liberalised these. As of 2025, advance claims up to ₹5 lakh are auto-settled. - **EPS:** minimum **10 years** of contribution required for a pension at 58. Less than 10 years = a withdrawal benefit (Table D) instead of a pension. - **EDLI:** payable to the nominee if the worker dies *while in service*. Maximum ₹7 lakh.

Step 5 — What is the pension formula?

$$\text{Monthly Pension} = \frac{\text{Pensionable Salary} \times \text{Pensionable Service}}{70}$$

If pensionable salary = ₹15,000 and service = 35 years, monthly pension = $15,000 \times 35 / 70 = \mathbf{₹7,500}$. Plain. The whole edifice of the Sunil Kumar 2022 controversy is about whether "pensionable salary" can be the worker's *actual* salary (say ₹60,000) or remains capped at ₹15,000 — the Supreme Court allowed the worker to *opt in* for higher pension on actual salary, subject to paying the differential contribution retrospectively.

Step 6 — Who enforces this? The **APFC / RPFC** — that is your future self. Under **Section 7A**, the APFC sits as a quasi-judicial officer and *determines the amount due* from a defaulting employer. **Section 7Q** stacks **12% p.a. interest** on the defaulted amount (mandatory, not discretionary). **Section 14B** stacks **damages** (5–25% under the old slab; uniform 1% per month after 15 June 2024 SC ruling). **Section 14** is the criminal prosecution route — fine and/or imprisonment.

1.3 The facts you actually need (organised by the tank diagram)

About the tank itself

Fact	Value	Memory hook
Year of Act	1952 (Act 19 of 1952)	Same year as the Constitution's <i>second</i> amendment
Coverage threshold	20+ employees in Schedule I	"Bigger than a cricket team and an extra"
Wage ceiling for mandatory coverage	₹15,000 / month (since 1 Sep 2014)	Older books say ₹6,500 — that figure is dead
Wage ceiling for EPS calculation	₹15,000 (the SC may revise this)	Same number, two different roles
EPF interest rate (FY 24–25)	8.25%	Compounded annually; declared by CBT
Central Board of Trustees	Chair: Union Labour Minister	Tripartite: govt + employer + employee

About the four sub-accounts

Sub-account	Employee pays	Employer pays	Cap
EPF	12% of (basic+DA+RA)	3.67% (or whatever remains after EPS)	Salary ceiling ₹15,000 for mandatory; voluntary above
EPS	nil	8.33%	Capped at ₹15,000 → max ₹1,250
EDLI	nil	0.50%	Capped at ₹15,000 → max ₹75
Admin	nil	0.50%	Capped at ₹15,000 → max ₹75
Total employer outflow		12.0% (+ 1.0% on capped portion)	

About the three benefits

Benefit	When triggered	Quantum
EPF lump sum	Retirement at 58, or earlier under specified heads	Accumulated balance + interest
EPS pension	10+ yrs service AND age 58	(Pensionable Salary × Pensionable Service) / 70
EDLI insurance	Death in service	Up to ₹7 lakh (formula-based)

About the enforcement weapons (the APFC's toolkit)

Section	Power	What it does
7A	Determination	APFC fixes amount due from defaulting employer — quasi-judicial
7B / 7C	Review / Escape	7B: review of 7A order on new facts; 7C: catches default discovered later
7Q	Interest	Mandatory 12% p.a. on delayed deposits
8	Recovery	Treat as land revenue; seize assets
14B	Damages	1% per month after 15 June 2024 (was 5–25% slab before)
14	Prosecution	Criminal — up to 3 yrs jail + fine
14A	Company liability	Directors personally liable
17	Exemption	Establishment may run its own trust if conditions met

1.4 How these are tested

Four question patterns recur:

Pattern A — "Which is NOT a scheme/sub-account under EPF Act 1952?" Tests whether you know the *three* schemes (EPF, EPS, EDLI). Wrong options will list defunct schemes (Family Pension Scheme 1971, now subsumed into EPS), Ayushman Bharat (not under EPFO), or APY (under PFRDA, not EPFO).

Pattern B — "Mr X earns ₹20,000/month. Compute his EPS contribution." Tests the **cap rule**. Employer's EPS = 8.33% of ₹15,000 (not ₹20,000) = ₹1,250. Always check the cap first.

Pattern C — "After how many years of service is one eligible for EPS pension?" Pure recall: **10 years**.

Pattern D — Statement-based on Sections 7A/7Q/14B. "Which statement is correct? (i) 7Q interest is discretionary; (ii) 14B damages are mandatory; (iii) burden of proof is on employer." Resolve each by the section's *one-line job* in the table above.

1.5 Trap pairs

The pair	The cue that resolves it
EPF (savings) vs EPS (pension)	EPF returns <i>all your money</i> ; EPS returns <i>a monthly cheque</i>
Section 7Q (interest) vs Section 14B (damages)	7Q is always 12% p.a. , no slab. 14B is the <i>penal</i> charge, now uniformly 1% per month
Section 14 (prosecution) vs Section 7A (determination)	14 = criminal court (jail). 7A = APFC's chair (money)
EPFO vs PFRDA	EPFO runs EPF/EPS/EDLI . PFRDA runs NPS/APY . Different organisations
Wage ceiling for coverage vs ceiling for EPS calc	Same number (₹15,000), but the first triggers <i>whether the worker is covered</i> , the second caps <i>how much pension he can earn</i>
Sunil Kumar 2022 vs original EPS	Original capped pensionable salary at ₹15K; Sunil Kumar opens the door to use <i>actual salary</i> if the worker pays differential past contributions

1.6 Self-test (60 seconds each)

- Employer's outflow as a *percentage of an employee's wage* (assume wage ₹15,000) — what is it, broken down by sub-account?
- An employee dies in service after 4 years of work. What is he/his family eligible for from the EPF Ecosystem?
- APFC issues a Section 7A order for ₹5 lakh default. The employer pays 90 days late. What is the additional liability?
- Why does the EPS pension formula divide by **70**, not by 12 or 100?
- Which section is invoked when an employer's default is discovered *years later* (i.e. after the fact)?

Answers below — try them first.

- 12% employer total (split: 8.33% EPS + 3.67% EPF) + 0.50% EDLI + 0.50% Admin = **13.0% of wage**.
- EPF lump sum (his accumulated balance + interest) + EDLI insurance (death in service, up to ₹7 lakh). **No pension** (less than 10 yrs service); his family may get a *withdrawal benefit* under EPS Table D instead.
- 7Q interest at 12% p.a. for 90 days on ₹5 lakh ≈ ₹14,750. *Plus* 14B damages at 1% per month for 3 months = ₹15,000. Roughly **₹30,000 extra** on top of the ₹5 lakh.
- The denominator 70 = 35 years of pensionable service × 2. It produces a maximum pension of 50% of pensionable salary if the worker works the full 35 years. The "2" is the actuarial scaling factor chosen by the original EPS designers in 1995.
- Section 7C** — escaped amount. (7A is the primary determination; 7B is review on new facts; 7C catches genuinely *later-discovered* defaults).

1.7 Social Security Schemes — Comparison Table (High-Yield)

This table is the single fastest way to answer "Match the scheme with its target/benefit" questions, which appear in almost every APFC paper.

Scheme	Target Group	Employee Contribution	Employer Contribution	Key Benefit
EPF	Organised sector (20+ employees)	12% of Basic+DA	3.67% of Basic+DA	Retirement lump sum (provident fund)
EPS	EPF members	Nil	8.33% of Basic+DA (max ₹1,250/month, capped at ₹15,000)	Monthly pension at age 58; minimum 10 yrs service
EDLI	EPF members	Nil	0.5% (capped at ₹75)	Life insurance up to ₹7 lakh on death in service
ESI	Organised sector (10+ employees in factory; wages ≤ ₹21,000)	0.75% of wages	3.25% of wages	Medical care + sickness + maternity + disablement benefits
PM-SYM	Unorganised workers earning < ₹15,000/month; age 18-40	₹55-200/month (age-based slab)	Government matches exactly	₹3,000/month pension at age 60
PM-LAGHU	Small traders and shopkeepers; age 18-40	Same matching model as PM-SYM	Government matches exactly	₹3,000/month pension at age 60
NPS	All citizens (compulsory for central govt employees post-2004; voluntary for others)	10% of Basic+DA (govt employees)	14% (Central Govt)	Market-linked annuity-based pension at 60; PFRDA regulates
APY (Atal Pension Yojana)	Unorganised sector; age 18-40	₹42-291/month (depends on age + pension amount chosen)	Govt co-contribution (historical; now ended for non-tax-payers)	Guaranteed ₹1,000-₹5,000/month pension at 60

KEY FACT

PM-SYM (Pradhan Mantri Shram Yogi Maan-dhan) — must-know facts: - Launched **2019** for **unorganised sector workers** earning less than **₹15,000/month**. - Entry age: **18 to 40 years**. - **Government matches** the beneficiary's monthly contribution exactly (1:1). - Contribution ranges from **₹55/month** (for those entering at 18) to **₹200/month** (for those entering at 40). - **Pension:** **₹3,000/month** from age 60. - Administered by the **Ministry of Labour and Employment**; implemented via **LIC and CSC** (Common Service Centres). - TRAP: PM-SYM is for **unorganised workers** (no EPF/NPS/ESI/ESIC coverage). Those already covered by organised-sector schemes are NOT eligible.

KEY FACT

EPFO Commissioner / Central PF Commissioner — specific officeholder names change frequently. If the exam asks who the current EPFO Commissioner is, re-verify shortly before your exam. The position and the ministry (Labour and Employment) are stable facts; the person's name changes.

1.8 One sentence to carry forever

Twelve percent in, twelve percent out, split into a piggy bank (EPF), a pension promise (EPS) and a life-cover (EDLI); the APFC's job is to make sure the tap actually flows.

CHAPTER 2 — The Labour Law Universe

What you must know after reading this chapter: the purpose of each major labour law, how they relate to each other, and why the 2020 codification was needed. By the end, when an exam Q says "the Industrial Disputes Act 1947" you should hear in your head "this is the law about how strikes and dismissals are handled — let me check what specifically is being asked", not panic.

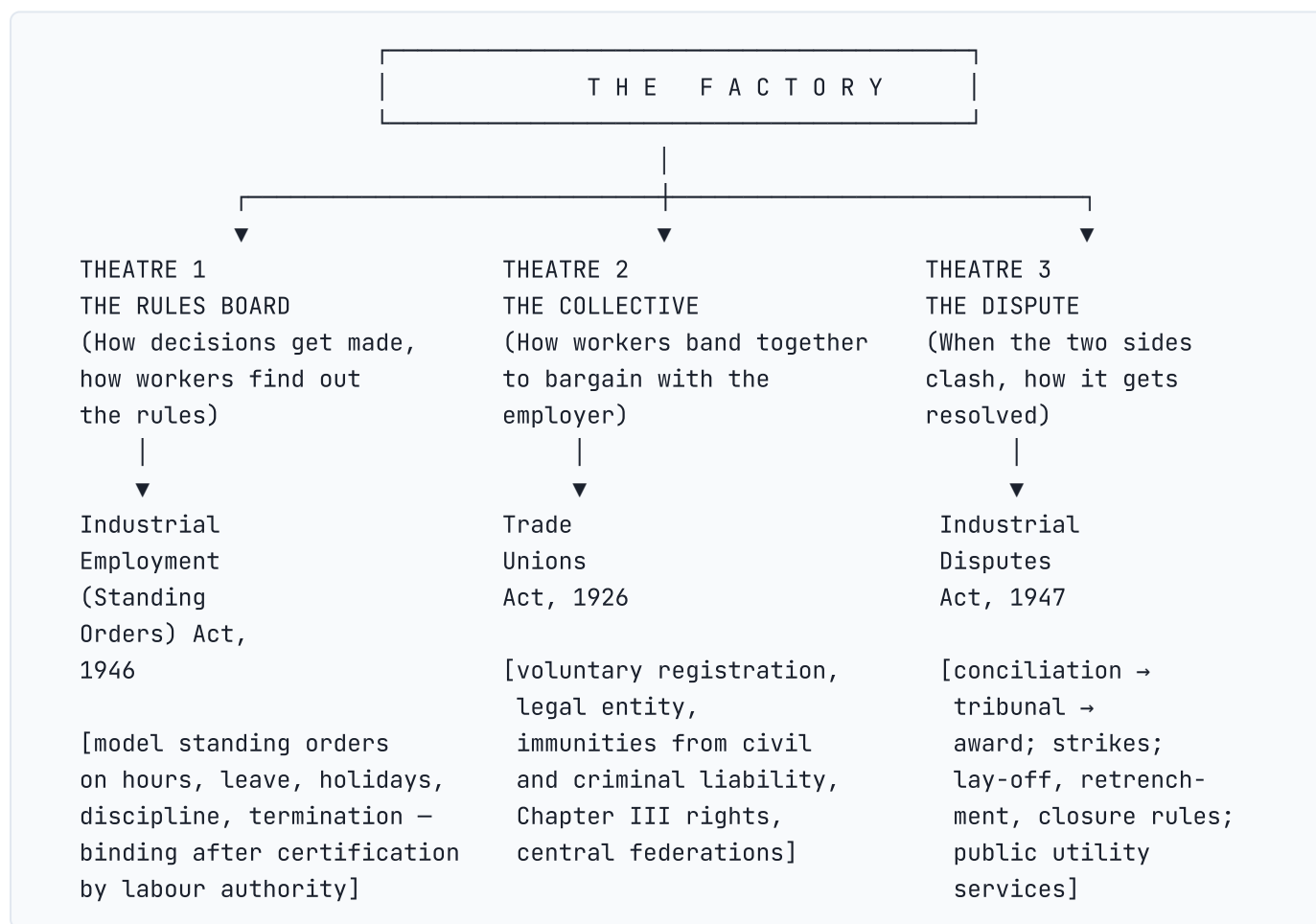
2.0 The 60-second picture

Indian labour law, from 1923 to 2020, is the story of the **State trying to balance three actors** — the worker, the employer, and the public interest in industrial peace. Each Act in our syllabus was passed because one of those three was being short-changed. The Industrial Disputes Act 1947 was passed because *strikes were paralysing the economy* after Independence. The Trade Unions Act 1926 was passed because *worker collectives kept being treated as criminal conspiracies*. The Factories Act 1948 was passed because *Bombay mill workers were losing limbs and dying*. The Industrial Employment (Standing Orders) Act 1946 was passed because *employers were firing workers without telling them the rules*.

By 2020, India had **29 separate central labour laws**, plus state variants. The four **Labour Codes** (Wages 2019, IR 2020, OSH 2020, SS 2020) collapsed those 29 into 4. This chapter is the **conceptual map** of the IR group — the laws about how the workplace is governed, how disputes are resolved, how unions function, and how workers know their rights.

2.1 The mental model — the workplace as a courtroom

Imagine a factory. Inside, there are **three theatres** of conflict potential:



Hold this picture. The three Acts cover the three theatres. Almost every IR question in your paper can be sorted into one of the three theatres in under 5 seconds.

The **Industrial Relations Code 2020 subsumes** all three Acts, plus the Industrial Employment (Standing Orders) Act — *but* the old Acts continue to govern in practice until each state notifies its rules under the Code. So the exam still tests both — the Act provisions AND the Code's headline changes.

2.2 Theatre 1 — Industrial Employment (Standing Orders) Act, 1946

The problem it solved. Before 1946, a factory worker often did not know whether he was a permanent or temporary employee, what hours he had to work, how he could take leave, or under what circumstances he could be dismissed. The rules were in the employer's head, mutable. **Standing Orders** are *written, certified, posted-on-the-wall rules* that bind both sides.

Who is covered. Any **industrial establishment with 100 or more workmen** (lowered to 50 in some states; the IR Code 2020 sets the threshold at **300**). Within 6 months of the Act becoming applicable, the employer must submit *draft* standing orders for **certification** to the Certifying Officer (an officer of the labour department).

Subjects compulsorily covered. The Schedule lists 11 matters that standing orders **MUST** cover, e.g.: classification of workmen (permanent, temporary, badli, apprentice), holidays and leave, shift working, attendance and late-coming, conditions for grant of leave, termination of employment, suspension, misconduct, grievance redress.

When they come into force. Standing orders come into operation **30 days after the Certifying Officer's order is final, OR 7 days after the appellate authority's order, whichever applies**. That's the EO/AO 2023 favourite number.

Why the exam loves this Act. It rewards precise recall: the **11 Schedule subjects**, the **employee count threshold** (100 → 300 under IR Code), and the **30-day commencement rule**. Any Q on "model standing orders" is from this Act.

2.3 Theatre 2 — Trade Unions Act, 1926

The problem it solved. In the 1920s, unions of workers were technically *unlawful combinations* under English common law (the Conspiracy Doctrine). Workers organising a strike could be jailed for criminal conspiracy. The Act gave unions a **legal personality** and **immunities**.

Registration. Any **seven** or more members of a trade union, by subscribing their names to its rules, can apply to the Registrar for registration. Registration is **voluntary** — an unregistered union is not illegal, just lacks the privileges. Once registered, the union becomes a **body corporate** with perpetual succession.

The "ten percent or one hundred" rule (post-2001 amendment). No trade union shall be registered unless at least **10% of the workmen** or **100 workmen**, whichever is less, are members at the time of application — and at least **7** members must be employed in the establishment.

Chapter III — Rights and Privileges of Registered Unions. These are the immunities exam favourite: - **Sec 17** — immunity from criminal conspiracy charges for acts in furtherance of a trade dispute - **Sec 18** — immunity from civil suits for inducing breach of contract, etc. - Power to constitute a **general fund** for objects of the union; a **political fund** is permitted but only members who *opt in* contribute - Power to hold property in the union's name - *Not* an immunity: criminal acts (violence, assault, intimidation) — these remain prosecutable

Trade dispute — definition (Sec 2(g)). Any dispute between (a) employers and workmen, (b) workmen and workmen, or (c) employers and employers, which is *connected with the employment or non-employment, or terms of employment, or conditions of labour, of any person*.

That word *non-employment* is a frequent trap — it includes disputes about *not* being employed (recruitment denial, refusal to re-employ), not just *being* employed.

The Central Federations to memorise (this is the Match the Following favourite):

Federation	Acronym	Year founded	Political affiliation
All India Trade Union Congress	AITUC	1920 (the OLDEST)	CPI (originally Congress, split 1947)
Hind Mazdoor Sabha	HMS	1948	Socialist Party (now non-affiliated)
Indian National Trade Union Congress	INTUC	1947	Indian National Congress
United Trade Union Congress	UTUC	1949	Revolutionary Socialist Party (RSP)
Bharatiya Mazdoor Sangh	BMS	1955	RSS/BJP (now LARGEST membership-wise)
Centre of Indian Trade Unions	CITU	1970	CPI(M)
Self-Employed Women's Association	SEWA	1972 (Ahmedabad)	Independent (founded by Ela Bhatt)
Hind Mazdoor Kisan Panchayat	HMKP	1948 (split)	Praja Socialist Party
Trade Union Coordination Committee	TUCC	1970	Forward Bloc

Chronological order (the APFC 2023 trap): AITUC (1920) → INTUC (1947) → HMS (1948) → UTUC (1949) → BMS (1955) → CITU (1970) → SEWA (1972). Memorise this sequence — it is the exact ordering Qs ask.

Trade Union Act vs Industrial Disputes Act — the trap. Don't confuse the **trade dispute** definition (under TU Act, Sec 2(g)) with **industrial dispute** (under IDA, Sec 2(k)). Same words for similar concepts, two different statutes.

2.4 Theatre 3 — Industrial Disputes Act, 1947

The problem it solved. Independence-era India inherited the Trade Disputes Act 1929 (a colonial law). After 1947, with industrial conflict surging, Parliament passed the IDA — a *much* more interventionist framework letting the State step into disputes via conciliation, adjudication and awards.

The two key definitions in Sec 2: - **Industrial dispute (2(k))**: dispute between employers and workmen, or workmen and workmen, regarding employment / non-employment / terms / conditions. (Three-pronged like the trade-union definition, but the **Bangalore Water Supply v Rajappa** 1978 7-judge SC ruling gave it a uniquely wide ambit using the **Triple Test**: systematic activity + cooperation between employer and employee + production of goods/services.) - **Workman (2(s))**: any person employed in any industry to do manual, unskilled, skilled, technical, operational, clerical or supervisory work for hire, *excluding* those mainly in managerial/administrative capacity drawing > ₹10,000/month, and certain other categories.

Public Utility Services — Sec 2(n) and First Schedule. Six categories: railways, postal/telegraph/telephone, *industries supplying power/light/water to the public, systems of public conservancy or sanitation*, certain *industries notified by appropriate government* (e.g. coal, oil), and *banking* (in some states). Public utility services attract **stricter strike-notice requirements** — see below.

The 6-week notice rule (the exam darling). Under Sec 22, in a **public utility service**: - A worker must give **not less than 6 weeks notice** before going on strike. - An employer must give **not less than 6 weeks notice** before declaring a lock-out. - This is in addition to the requirement that strikes/lockouts must not happen during conciliation or for 7 days after.

(Note: the 6-week rule applies to *both* parties — the EO/AO 2025 trap.)

Dispute settlement hierarchy. A live dispute moves through a ladder of forums:

1. Works Committee (Sec 3) → in-house resolution; only joint committees in establishments with 50+ workmen
- ↓
2. Conciliation Officer (Sec 4) → mediation; outcome can be a settlement
- ↓
3. Board of Conciliation (Sec 5) → for complex disputes
- ↓
4. Voluntary Arbitration (Sec 10A) → both sides agree to a private arbitrator
- ↓
5. Court of Inquiry (Sec 6) → fact-finding only
- ↓
6. Labour Court (Sec 7) → adjudicates disputes about dismissal, discipline (Second Schedule)
- ↓
7. Industrial Tribunal (Sec 7A) → adjudicates wages, hours, bonus, gratuity (Third Schedule)
- ↓
8. National Tribunal (Sec 7B) → disputes of *national* importance

The **award** of a Labour Court / Tribunal / National Tribunal is binding on the parties.

Grievance Redressal Committee (Sec 9C — inserted 2010). Every industrial establishment employing **20 or more workmen** shall have one. Equal representation from employer and workmen, max **10 members**, **adequate representation of women**, term **3 years**. Aggrieved workman must approach within **1 year** of cause of action. (EO/AO 2023 favourite Q.)

Legal representation before Labour Court / Industrial Tribunal / National Tribunal — Sec 36(4). A party may be represented by a lawyer **only with the consent of the other parties to the proceedings AND with the leave of the court / tribunal**. So legal representation is **not an automatic right** — both consent of opposite party *and* leave of court are needed. (EO/AO 2023 exact framing.)

Retrenchment compensation — Sec 25F. Compensation = **15 days' average pay for every completed year of continuous service**, plus 1 month's notice or pay in lieu. Threshold: applies to workmen who have completed **240 days of continuous service** in the preceding 12 months in an establishment with **100+ workmen** (the IR Code raises this to **300**).

Lay-off vs Retrenchment vs Closure — the absolute exam favourite trap.

Concept	Sec	Trigger	Compensation	Permission needed
Lay-off	2(kkk), 25C	<i>Temporary</i> inability to give work (power shortage, raw material) — worker remains on rolls	50% of basic + DA for the lay-off days	Permission needed only if 100+ workmen (300 under Code)
Retrenchment	2(oo), 25F	<i>Termination</i> of service for any reason other than punishment	15 days' avg pay × yrs of service + notice	Same threshold
Closure	2(cc), 25-O	<i>Permanent</i> shutdown of undertaking	15 days' avg pay × yrs of service (subject to 60 days' notice)	Govt permission if 100+ workmen (300 under Code)

The cue: *lay-off* = temporary; *retrenchment* = individual termination; *closure* = whole shop dies.

Conciliation proceedings — when do they conclude? (APFC 2023 favourite Q.) Conciliation under Sec 12 *deemed* to conclude when: - A settlement is arrived at and signed, OR - A failure report is sent to the appropriate government, OR - The reference is withdrawn, OR - The dispute is referred to adjudication. What

is NOT a ground for conclusion — *expiry of a time period* alone (conciliation has *no* statutory time limit; the trap option will say "after 30 days" or "after 14 days").

2.5 The IR Code 2020 shifts (memorise these — they are the *change* questions)

The Industrial Relations Code 2020 **subsumed** IDA 1947, TU Act 1926 and Standing Orders Act 1946. The **headline changes** the exam tests:

Old position	IR Code 2020 position
Standing Orders apply at 100+ workmen	300+ workmen
Lay-off / retrenchment / closure govt permission at 100+	300+ workmen (states can lower)
Multiple definitions of "worker"	Single unified definition; wage threshold ₹18,000 (vs ₹10,000 in IDA)
Multiple tribunals (LC, IT, NT)	Single Industrial Tribunal (2 - member: judicial + administrative)
Strike notice in any industry — none mandatory	60 days strike notice mandatory in ALL industries (was only for public utility under IDA)
Trade unions could be registered but had no "recognition" framework	New concept of Negotiating Union / Negotiating Council for collective bargaining
Re-skilling fund	New Worker Re-skilling Fund (Sec 83) for retrenched workers

2.6 How these are tested

Pattern A — "Which is NOT a public utility service under IDA First Schedule?" Always answer by exclusion. Telegraph, telephone, postal, railways, supply of power/light/water to the public, public conservancy/sanitation — these ARE public utilities. Banking is public utility in *some* states only. *Education, insurance, road transport* are typically NOT, unless notified.

Pattern B — "What is the minimum membership for trade union registration?" **7 workmen** to apply; **at least 10% of workforce or 100 workmen, whichever is less** to sustain. State both numbers; the exam wants the right framing.

Pattern C — Chronological order Q. Memorise: AITUC 1920, INTUC 1947, HMS 1948, UTUC 1949, BMS 1955, CITU 1970, SEWA 1972.

Pattern D — Match the Following (Federation ↔ Party). AITUC-CPI, INTUC-Congress, HMS-Socialist (independent), CITU-CPM, BMS-BJP, UTUC-RSP.

Pattern E — Lay-off vs retrenchment vs closure. Identify which one applies; pick the matching threshold and compensation.

Pattern F — Statement Q on Sec 9C / Sec 36(4) / Sec 12. Recall the specific rule (20+ workmen for GRC; both consent + leave for legal rep; conciliation has no time-bar).

Pattern G — IR Code change Q. "Under the new IR Code, the standing-orders threshold is..." — answer 300.

2.7 Trap pairs

The pair	The cue
Trade dispute (TU Act) vs Industrial dispute (IDA)	Same words; TU Act for union rights, IDA for adjudication
Lay-off vs Retrenchment vs Closure	Lay-off temporary; retrenchment individual termination; closure whole shop
Conciliation Officer vs Labour Court	Conciliation mediates (Sec 4); Labour Court <i>adjudicates</i> (Sec 7 — Second Schedule matters)

The pair	The cue
Labour Court vs Industrial Tribunal	LC = Second Schedule (dismissal, discipline). IT = Third Schedule (wages, bonus, hours)
Sec 25F (retrenchment) vs Sec 25-O (closure)	Both need notice + compensation; closure additionally needs govt permission if 100+ workmen
BMS vs INTUC	BMS = RSS/BJP, founded 1955 (now largest). INTUC = Congress, founded 1947
6-week notice (IDA, public utility) vs 60-day notice (IR Code, all industries)	OLD law = 6 weeks in PU only. NEW Code = 60 days everywhere

2.8 Self-test

1. A factory of 250 workmen wants to lay off 30 workers due to power shortage. Under the *old* IDA, does the employer need government permission? Under the *IR Code 2020*?
2. Three workers register a trade union with just themselves. Is it valid?
3. Under IDA, a dispute reaches conciliation on 1 March. By 30 April there is no settlement. The Conciliation Officer says "since 60 days have passed, conciliation is over." Correct?
4. AITUC, INTUC, BMS, CITU — chronological order of founding?
5. Mr X, a foreman drawing ₹15,000/month, is dismissed. Can he file an IDA claim as a "workman"?

Answers:

1. Under *old* IDA: yes, permission needed (100+ workmen threshold). Under IR Code 2020: no (threshold is 300; only 250 here). This is the *exact* lubricant of the new Code's flexibility argument.
2. No — minimum **seven** workmen must subscribe to the rules to apply for registration.
3. No — conciliation under Sec 12 has **no statutory time limit**. It concludes only on settlement / failure report / withdrawal / reference to adjudication.
4. AITUC (1920) → INTUC (1947) → BMS (1955) → CITU (1970).
5. Yes, under the IDA: the wage threshold for exclusion from "workman" is ₹10,000/month *only for those in managerial/administrative capacity*. A foreman doing supervisory work is included up to a wage threshold; check whether his work is mainly supervisory and whether he draws above ₹10,000 doing *managerial* work. If purely supervisory (not managerial), he counts as workman regardless. The trap option will say "he is not a workman because he draws ₹15,000".

2.9 ILC — Indian Labour Conference (High-Yield Tripartite Body)

Indian Labour Conference (ILC) is the **apex tripartite body** in India's industrial relations framework.

Feature	Detail
Composition	Tripartite: Government + Employers (CII, FICCI, ASSOCHAM, etc.) + Workers (central trade union federations)
Purpose	Discuss major national labour policy issues; reach consensus on wage norms, labour laws, working conditions
Status	Non-statutory; decisions are advisory/non-binding on the government
Standing Labour Committee (SLC)	Sub-body of ILC; meets more frequently to review implementation and prepare agenda for ILC
Exam question	"Which is the highest tripartite body for industrial relations in India?" → ILC

EXAM ALERT

 **TRAP — ILC decisions are NON-BINDING.** ILC is consultative — its recommendations guide policy but do not have legal force. Candidates sometimes assume that ILC resolutions are automatically enforceable. They are not. The government must legislate or notify separately.

2.10 One sentence to carry forever

Three theatres in one factory — the Standing Orders Act writes the rulebook, the Trade Unions Act lets workers form a team, and the Industrial Disputes Act runs the courtroom when the team and the management collide.

CHAPTER 3 — The Wages-Welfare Pentad

What you must know after reading this chapter: the five laws that protect a worker's take-home money + sickness/injury/maternity/retirement cushion — *Payment of Wages (1936)*, *Minimum Wages (1948)*, *Payment of Bonus (1965)*, *Payment of Gratuity (1972)*, *Maternity Benefit (1961)* — and the three companion laws (*ESI 1948*, *Employees' Compensation 1923*, *BOCW 1996*) that fill specific gaps. You should be able to compute any **threshold, eligibility, quantum, or time-limit** under each.

3.0 The 60-second picture

Think of a worker's pay-cheque. The State has placed protections around it at every point of vulnerability: - **Before the cheque is cut**, the State sets a **floor wage** — *Minimum Wages Act 1948*. - **At the moment of payment**, the State controls **when and how** the wages reach the worker, and what may be **deducted** — *Payment of Wages Act 1936*. - **At year-end profit-sharing**, the State mandates a minimum **bonus** — *Payment of Bonus Act 1965*. - **At separation** (retirement, resignation after 5 yrs, death), the State mandates a **gratuity** — *Payment of Gratuity Act 1972*. - **During pregnancy/childbirth**, the State mandates **paid maternity leave** — *Maternity Benefit Act 1961*.

And three companions for specific shocks: - **Sickness/injury/medical care** — *ESI Act 1948* (contributory insurance). - **Industrial accident/disease** — *Employees' Compensation Act 1923* (employer pays compensation; no insurance involved). - **Construction worker welfare** — *BOCW Act 1996* + Cess Act (welfare board funded by 1% cess on construction cost).

All of these — except EC 1923 — are now subsumed under the **Code on Wages 2019** (first four) and **Code on Social Security 2020** (the rest). But the underlying numbers and concepts are still the exam's bread and butter.

3.0A Labour Laws Quick-Reference Shortcut Table

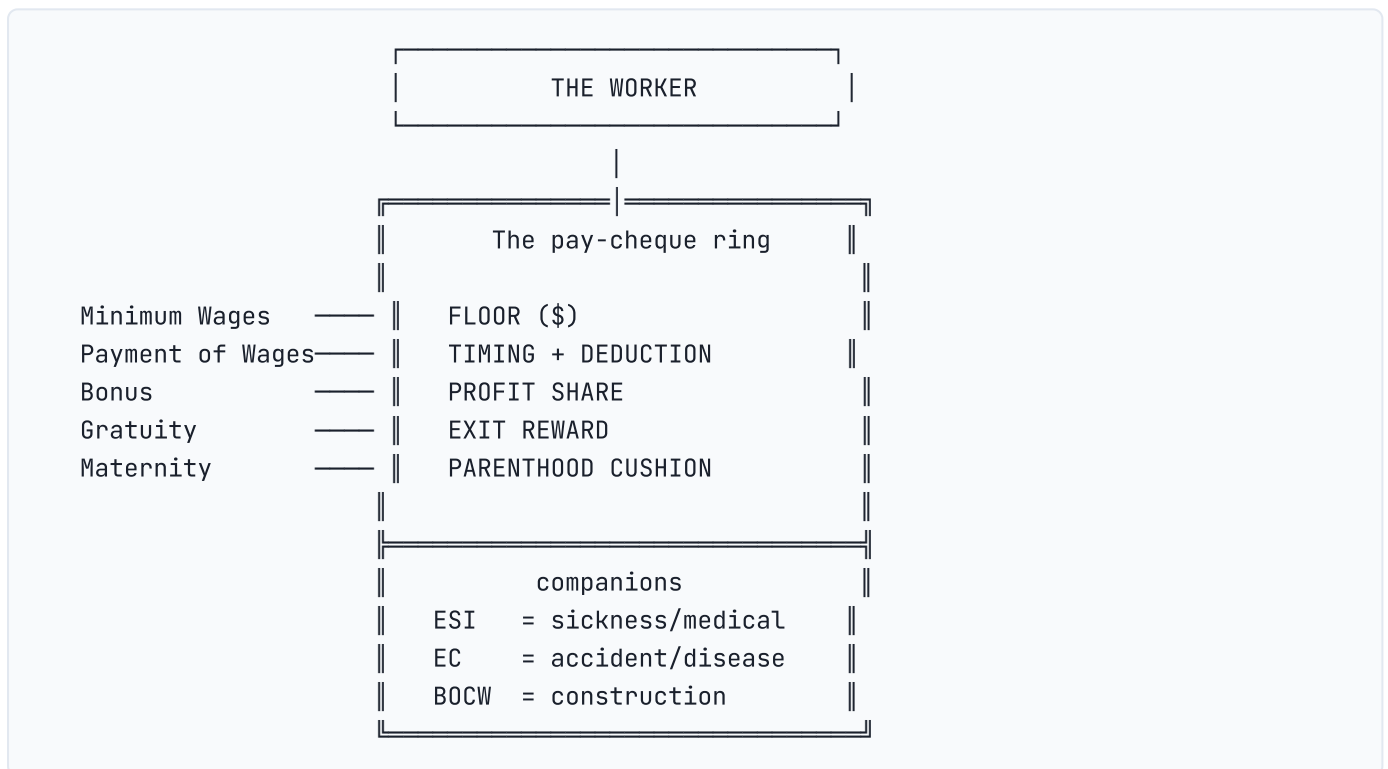
KEY FACT

✂ **SHORTCUT — Labour Acts at a glance (Act → Year → What it covers):**

Act	Year	What it protects	Key threshold / number
Workmen's Compensation Act (now Employees' Compensation Act)	1923	Compensation for industrial accident / occupational disease	Employer pays; no insurance needed
Trade Unions Act	1926	Legal status + immunities for registered unions	7 members to apply; 10% or 100, whichever less, to sustain
Payment of Wages Act	1936	When and how wages are paid; deductions capped	Wage ceiling ₹24,000/month; payment by 7th (< 1000 workers) or 10th
Industrial Employment (Standing Orders) Act	1946	Written certified rules of employment posted in factory	Applies to 100+ workers (300 under IR Code 2020)
Industrial Disputes Act	1947	Dispute resolution: conciliation → adjudication	6-week strike notice in Public Utility Services
Factories Act	1948	Safety, health, welfare in factories	Covers factory with 10+ workers (with power) or 20+ (without)
Minimum Wages Act	1948	Floor on wages (statutory minimum)	Revised by govt; scheduled employment list
ESI Act	1948	Health + sickness + maternity insurance (contributory)	Employee ≤ ₹21,000/month; Emp 3.25% + Ee 0.75%

Act	Year	What it protects	Key threshold / number
Employees' Provident Fund & MP Act	1952	Retirement savings + pension + life cover	20+ employees; 12% + 12%; EPS cap ₹15,000
Maternity Benefit Act	1961	Paid maternity leave	26 weeks (extended 2017); 10 weeks for adopting mothers
Payment of Bonus Act	1965	Statutory profit-sharing bonus	8.33% to 20%; wage ceiling ₹21,000; eligibility ₹7,000
Payment of Gratuity Act	1972	Lump sum on separation (5+ years service)	15 days × years of service; max ₹20 lakh
BOCW Act	1996	Welfare fund for construction workers	1% cess on construction cost; financed via Welfare Board
IR Code	2020	Consolidates IDA 1947 + TU Act 1926 + Standing Orders 1946	Threshold raised to 300 workers
Code on Social Security	2020	Consolidates EPF, ESI, Gratuity, Maternity, etc.	Pending state rules notification

3.1 The mental model — the pay-cheque protection ring



Five core protections; three companions. Eight laws total in this chapter. Read each as *what specific moment in the worker's life it protects*.

3.2 Law-by-law — the facts you actually need

Payment of Wages Act, 1936

The purpose. Regulate **when** wages are paid and what can be **deducted**.

Coverage. All workers in scheduled industrial establishments drawing wages up to **₹24,000 per month** (this ceiling, raised in 2017 from ₹18,000, is the live number).

Wage-period. Cannot exceed **one month**.

Timing of payment. - Establishments with **fewer than 1,000 workers** — pay by the **7th** of the next month. - Establishments with **1,000 or more workers** — pay by the **10th** of the next month.

Mode of payment. Current coin, currency notes, cheque, or direct bank credit. (Compulsory bank credit since 2017 amendment for certain establishments.)

Permissible deductions (Sec 7). Limited list: - Fines (subject to Sec 8 limits — max 3% of wages, employee must be heard) - Absence from duty - Damage / loss - House accommodation, amenities, services *if accepted by worker* - Recovery of advances or loans - Payments to co-operative societies or PF - Income-tax / authorised deductions to govt **Total deductions max:** 50% of wages (75% if cooperative society deductions are involved).

Registers & records (Sec 13A + Rule 5). Every employer must maintain registers of: wages paid, fines imposed, deductions made, advances given. **Preserve for 3 years** from last entry.

Authority for claims. Aggrieved worker files claim before the **Authority appointed under Sec 15** (an officer not below the rank of Presiding Officer of Labour Court). Application within **12 months** (extendable on sufficient cause).

Minimum Wages Act, 1948

The purpose. Ensure no worker is paid below a State-fixed floor.

The two big concepts: - **Time-rate** and **piece-rate** minimum wages — the Act allows both. - **Guaranteed time-rate** = a minimum-time-basis wage notionally applied to a piece-worker so even slow piece-workers earn a floor. (EO/AO 2023 exact term.)

Review and revision. The appropriate government must review/revise minimum wages **at intervals not exceeding 5 years** (Sec 3(1)(b)). This is the favourite recall fact.

Components of minimum wage (the 1948 Tripartite Committee + later judicial decisions like *Workmen of Reptakos Brett v Their Management* 1992): 1. Three consumption units per earner 2. 2,700 calories/day per adult 3. Cloth requirement 18 yards/year per adult 4. Rent equivalent to govt scheme rent 5. Fuel + lighting + misc = 20% of minimum wage 6. Children's education + medical + recreation = additional 25%

Categories of workers (Sec 2): unskilled, semi-skilled, skilled, highly-skilled — different minimum wages for each.

Subsumed by Code on Wages 2019. The Code introduces a **Floor Wage** to be set by the Central Government (advised by the Central Advisory Board) which states cannot go below.

Code on Wages, 2019 — Key Definitions (Exam-Favourite)

The Code on Wages 2019 consolidated four laws: **Payment of Wages Act 1936, Minimum Wages Act 1948, Payment of Bonus Act 1965, and Equal Remuneration Act 1976** into a single Code.

Term	Definition under the Code	Exam point
Floor Wage	Minimum base wage set by the Central Government after consulting Central Advisory Board; no state can fix a minimum wage BELOW the floor wage	New concept introduced by the Code; distinguishes from state minimum wage
Minimum Wage	Wage fixed by the state/appropriate government for different scheduled employments; must be at or above the floor wage	Different states can set different rates above the floor
National Minimum Wage	Advisory concept (NITI Aayog debates ₹178/day or higher); not legally binding yet	Debate ongoing; not same as floor wage
Equal Remuneration	Same pay for same work regardless of gender; Code incorporates the Equal Remuneration Act 1976 into Chapter IV	"Equal pay for equal work" made part of the Code

Term	Definition under the Code	Exam point
Worker	The Code uses a single unified definition covering manual, unskilled, skilled, technical, operational, clerical, or supervisory work (with monetary threshold: wage ≤ ₹18,000/month for some provisions)	Replaces four different definitions from the four old Acts
Advisory Board	Central Advisory Board (advises on floor wage); State Advisory Boards (advise on state minimum wages); tripartite composition	Tests who advises vs who decides

KEY FACT

Labour Codes implementation status (as of 2026): All four Labour Codes (Wages 2019, Industrial Relations 2020, Social Security 2020, OSH 2020) were passed by Parliament. However, **implementation has been deferred** — most states have not yet notified their rules under the Codes, so the **old Acts continue to govern in practice**. Examiners test BOTH: "what does the old law say?" AND "what will the Code change?" Read questions carefully for the context (current law vs future Code).

Payment of Bonus Act, 1965

The purpose. Statutorily share a slice of the employer's profit (or productivity) with workers.

Eligibility (Sec 2(13) + Sec 8). Employee drawing wages **up to ₹21,000/month** (raised from ₹10,000 in 2015). Must have worked at least **30 days** in the accounting year. Establishment with **20+ employees** (10+ if notified).

Minimum bonus (Sec 10). **8.33% of salary/wage** or **₹100**, whichever is higher — payable *even if there is no profit* (this is the "minimum bonus" guarantee).

Maximum bonus (Sec 11). **20% of salary/wage**, payable when allocable surplus exceeds the minimum bonus payable.

The wage cap for calculation (Sec 12). Even if the employee's wage exceeds ₹7,000 (or the minimum wage for the relevant scheduled employment, whichever is higher), **bonus is computed as if wage = ₹7,000 or the minimum wage, whichever is higher**.

Worked example (APFC 2023 favourite): - Employee draws ₹9,000/month under Minimum Wages Act. - Eligibility for bonus under PoB Act 2021-22: wage ≤ ₹21,000 ✓. - Bonus computed on ₹9,000 (because the minimum-wages figure is higher than the ₹7,000 cap). - Minimum bonus = $8.33\% \times 9,000 \times 12 = \text{₹8,996.40}$ per year.

Time-limit for payment (Sec 19). Within **8 months** from close of the accounting year; extendable to 2 years with government permission.

Payment of Gratuity Act, 1972

The purpose. Lump-sum reward at separation, for **long-service workers**.

Coverage. Every establishment with **10 or more employees** at any time in the preceding 12 months (sticky once covered). All sectors — factory, mine, plantation, shop, govt, NGO.

Eligibility (Sec 4(1)). **5 years of continuous service** required, EXCEPT in case of **death or disablement** — where the 5-year condition is waived.

Formula.

$$\text{Gratuity} = \frac{15 \times \text{Last drawn wage} \times \text{Yrs of service}}{26}$$

- 15 = 15 days' wage per year - 26 = number of working days in a month (excluding 4 Sundays) - Service of > 6 months in the last year counts as a full year (Sec 4(2) rule)

For employees not covered by the Act (private gratuity scheme), the formula uses 30 in the denominator and basic+DA in the numerator, and the days = 15 days for full year.

Maximum gratuity payable (Sec 4(3)): **₹20 lakh** (raised from ₹10 lakh by the 2018 amendment; this number is exam-favourite).

Forfeiture of gratuity (Sec 4(6)). Allowed only if termination is for proven misconduct involving riot, violence, moral turpitude — and partial forfeiture for damage caused to employer.

Time-limit for payment. Within **30 days** of becoming payable; otherwise interest payable.

Penalty for non-payment. Imprisonment up to 1 year and/or fine up to ₹20,000 (Sec 9).

Maternity Benefit Act, 1961 (as amended 2017)

The purpose. Paid maternity leave + workplace accommodations for working women.

Coverage. Every establishment (factory/mine/plantation/shop) with **10+ employees** where the woman has worked at least **80 days** in the 12 months preceding her expected date of delivery.

Maternity benefit quantum (Sec 5, post-2017 amendment). - **26 weeks** of paid leave — for women with **fewer than 2 surviving children**. - **12 weeks** — for women with **2 or more surviving children**. - **12 weeks** — for women adopting a child below 3 months of age, or commissioning mothers (surrogacy).

Distribution of leave. Up to **8 weeks before** expected delivery + remainder after. (Pre-natal cap is 8 weeks; post-natal makes up the balance.)

Crèche facility (Sec 11A — inserted 2017). Every establishment with **50+ employees** shall have a crèche facility within prescribed distance. Mother allowed **4 visits** per day to the crèche (including rest intervals).

Nursing breaks (Sec 11). Two breaks of prescribed duration, in addition to interval for rest, until child is **15 months old**.

Work-from-home option (Sec 5(5), 2017 amendment). Employer *may* permit WFH if nature of work permits, after maternity benefit period ends.

Government servants — exam catch. Maternity benefit of **26 weeks** under MBA applies to women in *establishments to which the Act applies*. Govt servants are governed by **Central Civil Services (Leave) Rules** which already provide 180 days = ~26 weeks. The exam Q on "circumstances when Ms X, a government servant, can claim 26 weeks under MBA 1961" is a trick — strictly speaking the MBA does not apply to govt servants unless their service rules incorporate it; the safe answer is: *for the birth of the first or second surviving child*.

Nursing-break duration (Sec 11 — APFC 2025 Q). Two breaks of prescribed duration, in addition to interval for rest. **Until child is 15 months old.**

Employees' State Insurance Act, 1948

The purpose. Contributory insurance for sickness, maternity, disablement, dependants' benefit, medical care.

Wage ceiling. **₹21,000/month** (₹25,000 for persons with disability).

Contribution rates (since 1 July 2019): - Employee: **0.75%** of wages - Employer: **3.25%** of wages - **Total: 4.00%**

(Older rates were 1.75% + 4.75% = 6.5%; the 2019 reduction stuck.)

Worked example. Wage ₹20,000. Employee contributes $0.75\% \times 20,000 = \text{₹150}$; Employer contributes $3.25\% \times 20,000 = \text{₹650}$. (APFC 2025 Q.)

Benefits (6 types). Sickness, maternity, disablement (temp/permanent), dependants', medical, funeral. Sickness benefit = **70% of wages** for 91 days/year max.

SPREE 2025 (Scheme for Promotion of Registration of Employers and Employees) — relief scheme allowing past defaulters to register without prosecution; approved by **ESIC** (not EPFO — common trap), period: typically a 6-month window.

Employees' Compensation Act, 1923 (renamed from Workmen's Compensation Act in 2010)

The purpose. Compensation by the **employer** to a workman injured/killed in employment — *no insurance involved*, employer pays directly.

Coverage. All workers in scheduled employments (Schedule II includes ~50 categories — factory workers, miners, plantation, transport, etc.). **No wage ceiling.**

Schedule I — list of injuries and percentage of permanent disablement. This is the most asked Schedule: - Loss of right arm above elbow: **70%** - Loss of right arm at or below elbow: **60%** - Loss of left arm above elbow: **60%** - Loss of left arm at or below elbow: **50%** - Loss of one foot: **40%** - Loss of sight of one eye (**without complication, other eye normal**): **30%** — this is **partial disablement, not total** (APFC 2025 exact framing of the Q). - Loss of hearing both ears: **50%** (partial of total).

Compensation formula (Sec 4): - **Death:** 50% of monthly wages × relevant factor (from Schedule IV), or **₹1,20,000**, whichever is more. - **Permanent total disablement:** 60% of monthly wages × relevant factor, or **₹1,40,000**, whichever is more. - **Permanent partial disablement:** % of the Sched I disablement × the permanent-total figure. - **Temporary disablement:** 25% of wages, half-monthly, during the disablement.

Worked example (APFC 2025 Q). Person X, age 48, mine worker, monthly wage ₹12,000, fatal accident. - Relevant factor for age 48 (from Sched IV): approximately **169.44**. - Compensation = 50% × 12,000 × 169.44 = ₹10,16,640. Compared with floor of ₹1,20,000 — higher of the two = **₹10,16,640**.

Reference time-limit (Sec 22A — APFC 2023 Q). Time within which Commissioner shall pass an order on a reference: prescribed by State rules — **typically 3 months**.

Building & Other Construction Workers Act, 1996 + BOCW Cess Act, 1996

The purpose. Welfare of unorganised construction workers via a State-level Welfare Board funded by a cess on construction cost.

Cess rate. **1% to 2%** of the cost of construction (typically 1% notified by the Centre).

Welfare Board benefits. Pension, accident assistance, maternity, education for children, housing, marriage, funeral, medical, skill-training.

Mandatory registration. Every employer of 10+ construction workers must register the establishment; every construction worker aged 18-60 having 90+ days of work in the preceding 12 months can register as a beneficiary.

Inter-State Migrant Workmen Act, 1979 (now subsumed in OSH Code 2020)

The purpose. Protect workers recruited in one state for work in another (via a *contractor*).

Key facts. - Applies to establishments employing **5 or more** inter-state migrant workmen via a contractor (separate from contract labour threshold of 20+ in CLRA). - **Registration** by principal employer; **licensing** by contractor. - **Displacement allowance** — 50% of monthly wages or ₹75, whichever higher. - **Journey allowance** — to/from home state.

Mines Act, 1952

Salient features. - Applies to all mines (coal, metal, oil-well, stone-quarry above prescribed threshold). - **Adult worker** max hours: 8/day (10/day above ground), 48/week. - **Weekly rest day** mandatory. - **Crèche** at

50+ women workers (same threshold as MBA). - **Special Officer** of the Mines Department can enter a mine for **survey, levelling, measuring** after giving **prescribed notice** to the mine owner (APFC 2023 Q).

3.3 The cross-cutting facts (organised by *what kind of number is asked*)

Eligibility / coverage thresholds — sticky numbers

Law	Threshold
Standing Orders Act	100+ workmen (300 under IR Code)
Trade Unions Act	7 to apply; 10% or 100 (whichever less) to sustain
Industrial Disputes Act (Works Committee)	100+ workmen
Industrial Disputes Act (GRC)	20+ workmen
Industrial Disputes Act (Lay-off / Retr / Closure govt permission)	100+ workmen (300 under IR Code)
PoW Act	wages $\leq$ ₹24,000/month
MW Act	applies to all scheduled employments — no employee threshold
PoB Act	20+ employees (10+ if notified) + wage $\leq$ ₹21,000 + 30 days work
Gratuity Act	10+ employees, 5+ yrs of service
MBA	10+ employees, 80+ days of work in last 12 months
ESI Act	wage $\leq$ ₹21,000 (₹25,000 PwD); 10+ employees in factories, 20+ in shops
EC Act	all scheduled employments — no wage ceiling
BOCW Act	10+ construction workers
ISMW Act	5+ inter-state migrant workmen via contractor
Mines Act	all mines above prescribed size

Quantum facts — the absolute must-memorise

Law	Quantum
Minimum Wages — review interval	not exceeding 5 years
PoW — timing of payment	7th (< 1000 workers) / 10th ($\geq$ 1000 workers) of next month
PoW — max deduction	50% of wages (75% if cooperative society)
PoW — records preservation	3 years
PoW — claims time-limit	12 months
Bonus — minimum	8.33% (~ 1 month's wages)
Bonus — maximum	20%
Bonus — wage cap for calculation	₹7,000 or applicable MW (higher)
Bonus — time-limit for payment	8 months from year-end
Gratuity — formula numerator	15 $\times$ last wage $\times$ yrs
Gratuity — formula denominator	26 (covered employees), 30 (uncovered)
Gratuity — max payable	₹20 lakh (since 2018)
Gratuity — minimum service	5 yrs (waived on death/disablement)
Gratuity — payment time-limit	30 days from becoming payable
Maternity — leave ($\leq$ 2 children)	26 weeks
Maternity — leave ($\geq$ 3rd child)	12 weeks

Law	Quantum
Maternity — pre-natal cap	8 weeks
Maternity — nursing breaks until	child is 15 months old
Maternity — crèche threshold	50+ employees
ESI — wage ceiling	₹21,000 (₹25,000 PwD)
ESI — employee contribution	0.75%
ESI — employer contribution	3.25%
ESI — sickness benefit	70% of wages, max 91 days/yr
EC — death floor	₹1,20,000
EC — permanent total disablement floor	₹1,40,000
EC — temp disablement	25% of wages, half-monthly
EC — loss of one eye (without complication)	30% partial disablement
ISMW — displacement allowance	50% of monthly wage or ₹75 (higher)
BOCW — cess rate	1% (can be up to 2%) of cost of construction

3.4 How these are tested

Pattern A — Direct threshold recall. "What is the maximum gratuity payable under the PoG Act?" → ₹20 lakh.

Pattern B — Worked numerical. Wage × percentage × period. Always check whether the wage exceeds a ceiling (ESI cap ₹21K, EPS cap ₹15K, PoB calc cap ₹7K-or-MW).

Pattern C — Eligibility scenario. "Mr X resigns after 6 years. Eligible for gratuity?" Yes (≥ 5 yrs). "Mr Y dies after 3 years in service. Eligible?" Yes (5-yr rule waived on death).

Pattern D — Statement 1/2/3 multi-correct. PoW Act, MBA — "Which of the following are correct?" Resolve each statement against the section facts above.

Pattern E — Sched I disablement %. Loss of one eye = 30%; loss of right arm above elbow = 70%; loss of left arm below = 50%. Memorise the top 5 numbers.

Pattern F — Match the Following. Common pairs: PoW Act ↔ wage protection; MW Act ↔ floor; PoB ↔ profit-share; PoG ↔ exit reward; MBA ↔ maternity; ESI ↔ medical; EC ↔ accident.

3.5 Trap pairs

The pair	The cue
PoW (₹24K ceiling) vs ESI (₹21K ceiling) vs PoB (₹21K ceiling) vs EPS (₹15K calc cap)	Different numbers; memorise as 24-21-21-15
Gratuity calc denominator: 26 vs 30	26 for covered (the Act assumes 4 Sundays off); 30 for uncovered employees
Maternity 26 weeks vs 12 weeks	26 for first/second child; 12 for third+
Maternity crèche threshold (50) vs Factories Act crèche threshold (30 women)	MBA at 50 <i>employees</i> (any gender); Factories at 30 <i>women</i> workers
ESI rate (0.75% + 3.25%) vs EPF rate (12% + 12%)	ESI is <i>insurance</i> ; EPF is <i>savings</i> — that's why ESI is so much smaller
EC Act (loss of one eye = 30%) — partial, not total	Other-eye-normal scenario, hence partial
Sched I (EC Act disablement list) vs Sched II (EC Act covered employments list)	Always say <i>Schedule I = body parts %</i> , <i>Schedule II = jobs covered</i>
MW review interval (5 yrs) vs Bonus payment limit (8 months)	Both are time-bound but unrelated; don't swap them

3.6 Self-test

1. A factory of 25 workers pays them on the **15th** of next month. Is this legal under PoW Act?
2. Ms A has worked 75 days in last 12 months. Eligible for maternity benefit?
3. Mr B's monthly wage = ₹6,000 under MW Act. Compute his minimum annual bonus.
4. Mr C, age 40, mine worker, monthly wage ₹15,000, fatal accident. Compute compensation under EC Act (relevant factor 184.17).
5. A worker loses sight in his left eye (right eye normal). What % disablement under EC Act Schedule I?

Answers: 1. No — PoW Act requires payment by the **7th** of next month for establishments with fewer than 1,000 workers. 15th is illegal; claim under Sec 15 lies. 2. No — MBA requires **80 days** of work in the 12 months preceding expected delivery. 75 falls short. 3. ₹6,000 > ₹7,000? No. ₹6,000 < ₹7,000 → bonus computed on **₹7,000** (or MW, whichever higher; here MW is ₹6,000 so ₹7,000 is higher). Min bonus = $8.33\% \times 7,000 \times 12 = \text{₹}6,997.20$ per year. 4. $50\% \times 15,000 \times 184.17 = \text{₹}13,81,275$. Floor ₹1,20,000 — higher of two = **₹13,81,275**. 5. **30%** partial disablement (loss of one eye without complication, other eye normal — Schedule I).

3.7 One sentence to carry forever

Five protections wrap the worker's pay-cheque — a floor, timely payment, a profit slice, an exit reward, a maternity cushion — and three companions catch the rest: medical (ESI), accident (EC), and the construction underclass (BOCW).

CHAPTER 4 — The Constitution-Labour Bridge

4.0 The 60-second picture

Every labour law you learned in Chapters 1-3 hangs from a hook in the Constitution. The hook is **Article 246 + Schedule 7**, which decides *who can make the law* (Centre or State). The *reason* the law exists is in the **Directive Principles** (Articles 39, 41, 42, 43, 43A) — the promises the State made to workers in 1950. The *limits* on those laws are in the **Fundamental Rights** (Articles 14, 19, 21, 23, 24). So labour law sits inside a triangle: **Power (who legislates) → Purpose (why) → Protection (what can't be violated)**. Learn the triangle and you can place any new labour question instantly.

4.1 The mental model — the three-floor building

Picture a three-floor building. Labour law lives on the ground floor where the actual work happens. But it is held up by two floors above it.

FLOOR 3: FUNDAMENTAL RIGHTS (the ceiling)
Art 14 equality · 19(1)(c) form unions ·
21 life+livelihood · 23 no forced labour ·
24 no child <14 in hazardous work
→ These set the CEILING. No law may pierce
FLOOR 2: DIRECTIVE PRINCIPLES (the mandate)
Art 39(a/d/e) · 41 right to work · 42 just
& humane conditions+maternity relief ·
43 living wage · 43A worker participation
→ These are the REASON the floor exists.
Non-justiciable but "fundamental in
governance" (Art 37)
FLOOR 1: THE LABOUR CODES (the workshop)
Wages · IR · OSH · Social Security
Made under Art 246 + Schedule 7 List III
(Concurrent) — both Centre & State act

The exam loves to test the **boundary lines** between the floors: "Is the right to form a union a Fundamental Right or a labour-law right?" (Answer: it is **both** — Art 19(1)(c) is the FR ceiling; the Trade Unions Act is the ground-floor mechanism.) "Is the right to a living wage enforceable in court?" (No — it is a Directive Principle, Art 43, non-justiciable.)

4.2 The story

In 1950 the framers faced a contradiction. They wanted to *guarantee* workers a living wage, decent hours and dignity — but a poor, newly-independent country could not afford to make those guarantees enforceable overnight. So they split the promises into two boxes. The promises the State **must** keep immediately (no forced labour, no child labour in mines, equality before law) went into **Part III — Fundamental Rights**, enforceable by the courts under Art 32. The promises the State would keep **as resources allowed** (living wage, work participation, humane conditions) went into **Part IV — Directive Principles**, declared "fundamental in the governance of the country" (Art 37) but explicitly *not* enforceable by any court.

Over seventy years the Supreme Court quietly demolished the wall between the two boxes. In *Bandhua Mukti Morcha* (1984) it read the Directive Principle of humane conditions **into** Article 21's "right to life," making bonded-labour rescue enforceable. In *Olga Tellis* (1985) it held the right to livelihood is part of the right to life. So today a clever lawyer turns an unenforceable Directive Principle into an enforceable Fundamental Right by routing it through Article 21. That judicial bridge — DPSP read into Art 21 — is the single most tested idea in this chapter.

4.3 The facts you actually need

Article 246 + Seventh Schedule — who legislates. Three lists:

List	Who legislates	Labour-relevant entries
List I — Union	Centre only	Entry 55 (regulation of labour & safety in mines and oilfields), Entry 61 (industrial disputes concerning Union employees)
List II — State	State only	(residual local matters)
List III — Concurrent	Both; Centre prevails on conflict (Art 254)	Entry 22 trade unions, industrial & labour disputes; Entry 23 social security & social insurance, EPF, employment & unemployment; Entry 24 welfare of labour, conditions of work, provident funds, employers' liability, ESI

*The single fact examiners ask most: Labour is in the **Concurrent List** (Entries 22, 23, 24). That is why both Parliament and State Assemblies can pass labour laws, and why the four Labour Codes needed careful Centre-State coordination.*

The Directive Principles that mention labour (Part IV):

Article	Promise
39(a)	Adequate means of livelihood for all citizens
39(d)	Equal pay for equal work for men and women
39(e)	Health & strength of workers not abused; not forced by economic necessity into unsuitable work
41	Right to work, to education, to public assistance (old age, sickness, unemployment)
42	Just and humane conditions of work + maternity relief
43	Living wage , decent standard of life, leisure; promotion of cottage industries
43A	Participation of workers in management (added by 42nd Amendment, 1976)
43B	Promotion of co-operative societies (97th Amendment, 2011)

The Fundamental Rights that cap labour law (Part III):

Article	Right	Labour link
14	Equality before law / equal protection	Basis for equal-pay & anti-discrimination cases
19(1)(c)	Freedom to form associations or unions	Constitutional root of the Trade Unions Act
21	Protection of life & personal liberty	Expanded to include livelihood, humane conditions, health
23	Prohibition of traffic in humans & forced labour (<i>begar</i>)	Bonded Labour System (Abolition) Act, 1976
24	No child below 14 in any factory, mine or hazardous employment	Child & Adolescent Labour (Prohibition) Act

Wage / minimum-wage in the Constitution: there is **no Fundamental Right to a minimum wage as such**, but the Supreme Court in *People's Union for Democratic Rights v. Union of India* (1982, the Asiad Workers case)

held that **paying less than the minimum wage = forced labour under Article 23**, because a person who works below subsistence is "forced" by economic compulsion. This converts a wage question into a Fundamental-Rights question — a favourite trap.

4.4 How these are tested

- **Which list?** "Trade unions fall under which list of the Seventh Schedule?" → Concurrent (Entry 22).
- **FR vs DPSP sorting.** "Equal pay for equal work is a —
(a) Fundamental Right
(b) Directive Principle
(c) Fundamental Duty." → **Directive Principle, Art 39**
(d) — but note it has been *enforced* via Art 14+16, so read the question carefully.
- **Which Amendment added it?** Art 43A (workers in management) → **42nd Amendment 1976**; Art 43B (co-operatives) → 97th Amendment 2011.
- **Case-to-principle.** "Non-payment of minimum wage was held to be forced labour in which case?" → *PUDR v. UOI* (Asiad Workers, 1982).
- **Which Article protects children?** Art 24 (below 14, hazardous). Art 21A (right to education 6-14) is the companion.

4.5 Trap pairs

- **Art 23 vs Art 24** — 23 = forced labour & trafficking (all ages); 24 = child labour below 14 in hazardous work. Don't swap.
- **Art 39(d) vs Art 14** — 39(d) is the *Directive Principle* of equal pay; Art 14 is the *Fundamental Right* of equality used to enforce it.
- **Living wage vs minimum wage vs fair wage** — *Living wage* (Art 43, the aspiration) > *Fair wage* > *Minimum wage* (the statutory floor, enforceable). Only the **minimum wage** is legally enforceable; the living wage is a Directive Principle goal.
- **42nd vs 44th Amendment** — 42nd (1976) added 43A, the words "Socialist Secular," and Fundamental Duties; 44th (1978) *removed* the right to property from FRs. Workers' participation = 42nd.
- **DPSP non-justiciable, but...** — the *rule* (Art 37) is they cannot be enforced in court; the *exception* is when a court reads them into Art 21. Both halves get tested.

4.6 Self-test (60 seconds each)

1. Under which Schedule and List does "social security and social insurance" fall?
2. Name the Article that guarantees the freedom to form unions and the Article (DPSP) that promotes worker participation in management.
3. Which case held that paying below minimum wage amounts to forced labour, and under which Article?
4. Is "equal pay for equal work" a Fundamental Right or a Directive Principle? What is the Article number?
5. Which Constitutional Amendment inserted Article 43A?

Answers: 1) Seventh Schedule, **Concurrent List, Entry 23**. 2) Form unions = **Art 19(1)(c)** (FR); worker participation = **Art 43A** (DPSP). 3) *PUDR v. Union of India* (Asiad Workers, 1982), under **Article 23**. 4) **Directive Principle, Article 39(d)** (enforced through Art 14/16). 5) **42nd Amendment, 1976**.

4.7 One sentence to carry forever

Labour law is born in the Concurrent List (power), justified by the Directive Principles (purpose), and capped by Fundamental Rights (protection) — and the Supreme Court's master-key is reading any Directive Principle into Article 21 to make it enforceable.

CHAPTER 5 — Polity Beyond Labour

5.0 The 60-second picture

The APFC paper carries ~28 marks of pure Constitution/Polity beyond the labour bridge. It is the *cheapest* mark per hour in the whole syllabus because it is finite and factual. Picture the Indian State as **three organs (Legislature, Executive, Judiciary)** kept honest by **four watchdog bodies (EC, CAG, UPSC, Finance Commission + AG)**, all operating under **one rulebook that can be amended (Art 368)** but not in its **basic structure**. Master five things — how Parliament works, how a bill becomes law, who guards the Constitution, how it is amended, and the emergency switches — and you bank these marks.

5.1 The mental model — government as a relay race

Think of governance as a relay with a baton called *legitimacy*.

```
PEOPLE
  | (elect)
  ▼
LOK SABHA (545) — money bills start here, real power
  | + RAJYA SABHA (245) — states' house, never dissolved
  ▼ (a bill cleared by both + President's assent)
LAW
  | (executed by)
  ▼
PRESIDENT → PM + Council of Ministers (real executive)
  | (and checked by)
  ▼
SUPREME COURT → guards the Constitution (judicial review)
```

The baton can only move if each runner follows the rules. The exam tests the *handoff points*: how many readings a bill needs, who can introduce a money bill, what happens in a joint sitting, who can declare an emergency, who interprets the Constitution.

5.2 Parliament — the facts you actually need

Composition:

House	Strength (max)	Term	Presiding officer
Lok Sabha	552 (530 states + 20 UTs + 2 Anglo-Indian <i>abolished by 104th Amdt 2019</i>)	5 years (dissolvable)	Speaker
Rajya Sabha	250 (238 elected + 12 nominated)	Permanent; 1/3 retire every 2 yrs (6-yr term)	Vice-President (ex-officio Chairman)

How a bill becomes law (ordinary bill): Introduction (First Reading) → Second Reading (general discussion + clause-by-clause) → Third Reading (vote) → other House repeats → President's assent. **Money Bill (Art 110):** can be introduced **only in Lok Sabha**, only on President's recommendation; Rajya Sabha can only *recommend* changes within **14 days** and Lok Sabha may reject them — Speaker certifies a Money Bill and the decision is final.

Joint sitting (Art 108): called by President to resolve a deadlock on an *ordinary* bill (never a money bill or constitutional amendment); presided over by the **Speaker**; decided by simple majority of total members

present. Only **three** joint sittings have ever happened (Dowry Prohibition 1961, Banking Service Commission Repeal 1978, **POTA 2002**).

Key terms: *Quorum* = 1/10 of total members. *Question Hour* (first hour), *Zero Hour* (immediately after, no notice). Types of majority: **Simple** (present & voting), **Absolute** (of total strength), **Effective** (total minus vacancies), **Special** (2/3 of present & voting + majority of total — used for amendments & impeachment).

5.3 The Judiciary & guardianship of the Constitution

- **Supreme Court (Art 124):** Chief Justice + up to **33** other judges (34 total). Judges retire at **65**; High Court judges at **62**.
- **Judicial Review** — the power to strike down laws violating the Constitution; rooted in Art 13.
- **Basic Structure Doctrine** — *Kesavananda Bharati v. State of Kerala (1973)*: Parliament can amend any part of the Constitution under Art 368 but **cannot destroy its "basic structure"** (rule of law, judicial review, federalism, secularism, free & fair elections). This single doctrine is tested almost every year.
- **Writs (Art 32 SC / Art 226 HC):** Habeas Corpus (produce the body), Mandamus (we command — to a public authority), Prohibition (stop, to a lower court), Certiorari (be certified — quash an order), Quo Warranto (by what authority — challenge a usurped office). Art 32 is itself a Fundamental Right — Ambedkar called it "the heart and soul of the Constitution."

5.4 Constitutional & statutory bodies — the watchdogs

Body	Article	Appointed by	Notes
Election Commission	324	President	CEC + 2 ECs; removed like SC judge
CAG	148	President	Audits Union & State accounts; "guardian of the public purse"; 6-yr/65
UPSC	315-323	President	Conducts central recruitment (incl. this very exam)
Finance Commission	280	President, every 5 yrs	Recommends tax devolution Centre→States
Attorney General	76	President	Highest law officer of the Union
NITI Aayog	(executive body, no Article — replaced Planning Commission 2015)	—	Think-tank, not constitutional

Trap: NITI Aayog and the Lokpal are **statutory/executive**, not constitutional. The Finance Commission and CAG **are** constitutional. Sorting "constitutional vs statutory vs non-statutory" is a stock question.

5.5 Amendments & Emergencies

Amendment (Art 368) — three routes: (a) simple majority (some provisions, outside 368), (b) special majority (most), (c) special majority + **ratification by half the states** (federal provisions — election of President, distribution of powers, Schedule 7, representation of states, Art 368 itself).

Emergencies — three types:

Type	Article	Ground	Notable
National	352	War, external aggression, armed rebellion	Declared 3 times: 1962, 1971, 1975-77 (internal). 44th Amdt changed "internal disturbance" → "armed rebellion"

Type	Article	Ground	Notable
State (President's Rule)	356	Failure of constitutional machinery in a State	<i>S.R. Bommai (1994)</i> made it judicially reviewable
Financial	360	Threat to financial stability/credit	Never used

Landmark amendments to remember: 1st (1951, land reforms + 9th Schedule), 42nd (1976, "mini-constitution"), 44th (1978, undid Emergency excesses, removed right to property from FRs), 73rd & 74th (1992, Panchayats & Municipalities), 101st (2016, **GST**), 103rd (2019, 10% EWS reservation), 104th (2020, abolished Anglo-Indian nomination + extended SC/ST reservation).

5.6 How these are tested

- **Number facts:** SC judges (34), quorum (1/10), money-bill recommendation window (14 days), joint sittings held (3).
- **Article-to-body:** "CAG is under which Article?" → 148. "Finance Commission?" → 280.
- **Doctrine-to-case:** Basic structure → *Kesavananda*; President's Rule reviewable → *Bommai*.
- **Constitutional vs statutory:** NITI Aayog (no), Election Commission (yes).
- **Which majority:** Removal of a judge / amendment = special majority; ordinary bill = simple.

5.7 Trap pairs

- **Art 352 vs 356 vs 360** — National / State / Financial emergency. 360 never used.
- **Money Bill vs Finance Bill** — a Money Bill (Art 110) deals *only* with the matters listed there and Speaker certifies it; a Finance Bill is broader. All Money Bills are Finance Bills, not vice-versa.
- **Cut motions vs adjournment motion vs no-confidence** — different parliamentary devices; no-confidence is only against the entire Council of Ministers.
- **Planning Commission vs NITI Aayog vs Finance Commission** — first two are executive/non-constitutional; only the Finance Commission is in the Constitution (Art 280).
- **Speaker presides over joint sitting**, not the Vice-President (who chairs only the Rajya Sabha).

5.8 Self-test

1. In which House must a Money Bill be introduced, and how long can the other House hold it?
2. Name the case that established the Basic Structure Doctrine and the year.
3. Which Article covers President's Rule, and which case made it judicially reviewable?
4. Is the Finance Commission constitutional or statutory? Which Article?
5. How many joint sittings of Parliament have been held, and name the most recent law passed that way.

Answers: 1) **Lok Sabha**; Rajya Sabha may hold/recommend for **14 days** only. 2) ***Kesavananda Bharati, 1973***. 3) **Article 356**; *S.R. Bommai v. Union of India, 1994*. 4) **Constitutional, Article 280**. 5) **Three**; most recent = **POTA, 2002**.

5.9 One sentence to carry forever

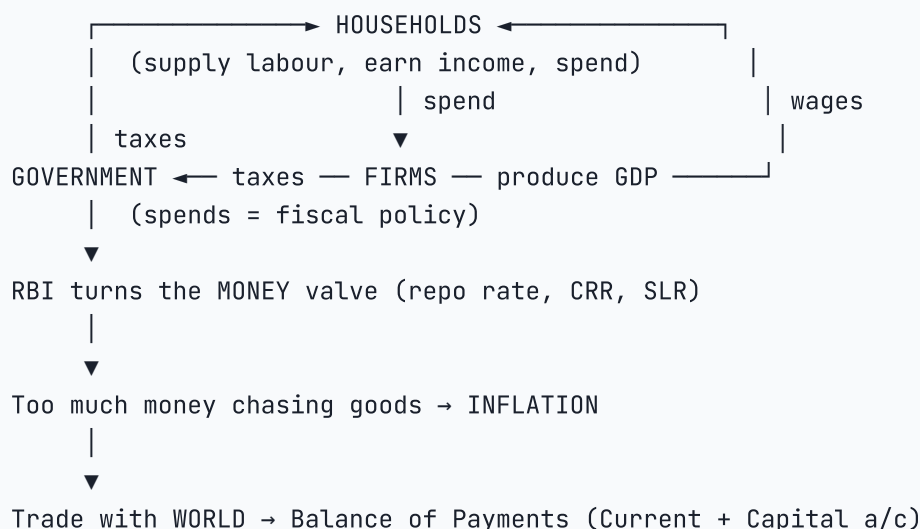
Three organs pass the baton of legitimacy under one amendable rulebook whose basic structure even Parliament cannot touch — and the watchdogs (EC, CAG, UPSC, Finance Commission) are the referees who keep the relay honest.

CHAPTER 6 — The Indian Economy Story

6.0 The 60-second picture

Economics on this paper is not a formula sheet — it is one **circular flow of money** with four valves the government turns: **what the country earns (National Income)**, **how much money exists (Monetary policy)**, **how the government spends & taxes (Fiscal policy/Budget)**, and **how prices behave (Inflation)**. Plus a fifth window — **how India trades with the world (BoP & FTAs)**. Hold the circular flow in your head and every term — GDP, repo rate, fiscal deficit, CPI, current account — drops into its slot.

6.1 The mental model — the money merry-go-round



Money goes round and round; the government and RBI only adjust the *speed* of the merry-go-round. Fiscal policy (Budget) is the **government's** hand; monetary policy (repo rate) is the **RBI's** hand. Inflation is what happens when the ride spins too fast.

6.2 National Income — what the country earns

Term	Meaning
GDP	Value of all final goods & services produced within the country in a year
GNP	GDP + net factor income from abroad
NNP	GNP – depreciation
NNP at factor cost = National Income	NNP at market price – indirect taxes + subsidies
Per Capita Income	National Income ÷ population
Nominal vs Real GDP	Nominal = current prices; Real = constant (base-year) prices , strips out inflation
GDP Deflator	$(\text{Nominal} \div \text{Real GDP}) \times 100$ — broadest inflation measure

Three methods to measure: Production (value-added), Income (wages+rent+interest+profit), Expenditure (C+I+G+(X-M)). India's base year for GDP is currently **2022-23** (new series released by MoSPI in February 2026; replaced the old 2011-12 base); data is released by the **NSO (National Statistical Office)** under MoSPI. Sectors: Primary (agri), Secondary (industry), Tertiary (services — the largest share of India's GDP, ~50%+).

6.3 Money & Monetary Policy — the RBI's valve

The RBI's toolkit (quantitative):

Tool	What it is	Raise it to...
Repo rate	Rate RBI lends to banks (against securities)	fight inflation (makes loans dearer)
Reverse repo	Rate RBI borrows from banks	absorb liquidity
CRR	% of deposits banks park with RBI (cash, no interest)	suck out money
SLR	% of deposits banks hold in liquid assets (gold, G-secs)	restrict credit
MSF	Marginal Standing Facility — emergency overnight borrowing, above repo	—
Bank Rate	Long-term lending rate (now aligned with MSF)	—

Monetary Policy Committee (MPC): 6 members (3 RBI incl. Governor + 3 government-appointed), set up after the 2016 RBI Act amendment; targets **CPI inflation of 4% ($\pm 2\%$)**, i.e. the 2-6% band. Decisions by majority; Governor has a casting vote.

Money supply measures: M1 (currency + demand deposits) < M2 < M3 (broad money, most used) < M4. **M0** = reserve/high-powered money.

6.4 The Budget & Fiscal Policy — the government's valve

The deficits (memorise the formulas — directly asked):

Deficit	Formula
Fiscal Deficit	Total Expenditure – Total Receipts (excluding borrowings) = the government's total borrowing need
Revenue Deficit	Revenue Expenditure – Revenue Receipts
Primary Deficit	Fiscal Deficit – Interest payments
Effective Revenue Deficit	Revenue Deficit – grants for capital asset creation

Budget documents under Art 112 = "Annual Financial Statement." Receipts split into **Revenue** (taxes, no asset/liability change) and **Capital** (borrowings, disinvestment). **FRBM Act, 2003** mandates fiscal discipline (target fiscal deficit ~3% of GDP). Taxes: **Direct** (income, corporate — burden can't be shifted) vs **Indirect** (GST, customs — burden shifts to consumer). **GST (101st Amendment, 1 July 2017)** — "one nation one tax," GST Council (Art 279A) chaired by Union FM; slabs 0/5/12/18/28%.

6.5 Inflation — when the ride spins too fast

Types: Demand-pull (too much money chasing goods) vs Cost-push (input costs rise). **Headline** (overall) vs **Core** (excludes food & fuel). Other terms: *Stagflation* (inflation + stagnation/unemployment together), *Deflation* (falling prices), *Disinflation* (slowing rate of inflation), *Reflation*.

India's price indices:

Index	Measures	Published by	Base year
CPI	Retail prices (consumer) — RBI's target	NSO/MoSPI	2024 (new series released Feb 2026; old base was 2012)
WPI	Wholesale prices	Office of Economic Adviser, DPIIT	2011-12
CPI-IW	Industrial workers (used for DA)	Labour Bureau	2016

Trap: RBI targets **CPI**, not **WPI**. **WPI** has no services component; **CPI** does. **CPI-IW** is the one used to fix **Dearness Allowance** — directly relevant to the EPF/wages world of Chapters 1-3.

6.6 The world window — BoP, FTAs, institutions

Balance of Payments = Current Account + Capital Account. Current = trade in goods (Balance of Trade) + services + transfers (remittances). Capital = FDI, FII, loans, banking capital. A **current account deficit (CAD)** means India imports more than it exports + earns. **Forex reserves** managed by RBI.

FDI vs FII: FDI = lasting management interest, "patient" long-term capital; FII/FPI = portfolio (stocks/bonds), "hot" money that can flee quickly.

Global institutions: **IMF** (short-term BoP support, SDR, HQ Washington), **World Bank** (long-term development, IBRD+IDA), **WTO** (trade rules, Geneva), **ADB** (Manila). India's FTAs/RTAs: with ASEAN, Japan (CEPA), UAE (CEPA 2022), Australia (ECTA 2022); India is **not** in RCEP or CPTPP.

6.7 How these are tested

- **Formula recall:** Primary deficit = fiscal deficit – interest payments; NNP = GNP – depreciation.
- **Who/what:** RBI's inflation target ($4\% \pm 2\%$, CPI); MPC strength (6); base year of GDP (2011-12).
- **Tool direction:** "To control inflation, RBI will ___ the repo rate" → *raise*.
- **Index sorting:** CPI vs WPI vs CPI-IW; which is RBI's target; which fixes DA.
- **Concept pairs:** FDI vs FII; direct vs indirect tax; demand-pull vs cost-push.
- **Amendment/date:** GST = 101st Amendment, 1 July 2017, Art 279A Council.

6.8 Trap pairs

- **Repo vs Reverse Repo** — repo = RBI lends (raise to fight inflation); reverse repo = RBI borrows (raise to absorb liquidity).
- **CRR vs SLR** — CRR is cash with RBI (no interest); SLR is liquid assets held by the bank itself (earns return).
- **Fiscal vs Revenue vs Primary deficit** — know which subtracts interest (primary) and which excludes borrowings (fiscal).
- **CPI vs WPI** — RBI targets CPI; WPI has no services.
- **GDP vs GNP vs NNP** — add foreign income for GNP, subtract depreciation for NNP.
- **Nominal vs Real GDP** — real strips inflation using a base year.
- **FDI vs FII** — lasting interest vs portfolio/hot money.

6.9 Self-test

1. Write the formula for Primary Deficit.
2. What does the RBI target, at what level, and with how many MPC members?
3. Which index is used to calculate Dearness Allowance?
4. Differentiate CRR and SLR in one line.
5. Which Constitutional Amendment introduced GST and under which Article is the GST Council?

Answers: 1) **Primary Deficit = Fiscal Deficit – Interest Payments.** 2) **CPI inflation at 4% ($\pm 2\%$, i.e. 2-6%),** decided by a **6-member MPC.** 3) **CPI-IW** (Consumer Price Index for Industrial Workers). 4) **CRR** = cash kept

with RBI (no interest); **SLR** = liquid assets (gold/G-secs) held by the bank itself. 5) **101st Amendment (2017); GST Council under Article 279A.**

6.10 One sentence to carry forever

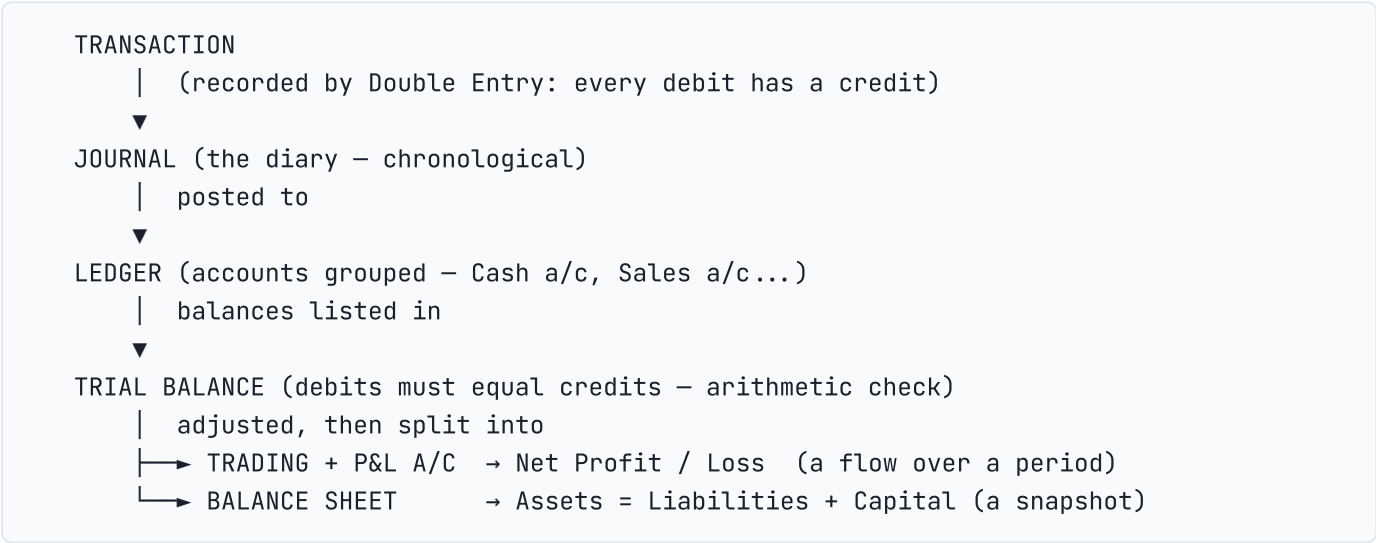
The economy is one money merry-go-round: the Budget is the government's hand and the repo rate is the RBI's hand on its speed; when it spins too fast you get inflation (measured by CPI), and the world window of trade is the Balance of Payments.

CHAPTER 7 — The Accounting Spine

7.0 The 60-second picture

Accounting was the single biggest topic in the APFC/EO-AO papers (ACCT_PRINCIPLES ~62 hits). It looks scary but rests on **one equation that can never break: Assets = Liabilities + Capital**. Every transaction touches that equation twice (double entry), gets recorded in a **journal**, sorted into a **ledger**, summarised in a **trial balance**, and finally shown in two statements: the **Trading & Profit-and-Loss Account** (did we earn?) and the **Balance Sheet** (what do we own & owe?). Learn the equation and the flow, and the rest is vocabulary.

7.1 The mental model — the accounting river



Money flows down the river from a single transaction to the two final statements. The exam tests every bend: which account to debit, the golden rules, what goes in the Trading account vs P&L vs Balance Sheet.

7.2 The bedrock — the accounting equation & double entry

Accounting Equation: Assets = Liabilities + Capital (Owner's Equity). Rearranged: Capital = Assets – Liabilities.

Double-entry system: every transaction has two equal and opposite effects — one **debit (Dr)** and one **credit (Cr)**. Total debits always equal total credits; that's why a trial balance must tally.

The Golden Rules (Traditional / British approach):

Account type	Rule
Personal (persons, firms, banks)	Debit the receiver , Credit the giver
Real (assets, cash, goods)	Debit what comes in , Credit what goes out
Nominal (expenses, incomes, gains, losses)	Debit all expenses & losses , Credit all incomes & gains

Modern (American) approach uses five elements — Assets, Liabilities, Capital, Income, Expenses — with debit/credit rules per element; either approach gives the same answer.

7.3 The fundamental concepts & conventions (high-frequency)

Concept	Meaning
Business Entity	Owner and business are separate; owner's capital is a liability <i>to</i> the business

Concept	Meaning
Going Concern	Business will continue indefinitely; assets recorded at cost, not break-up value
Money Measurement	Only transactions measurable in money are recorded
Cost Concept	Assets recorded at purchase (historical) cost
Accrual	Revenue/expense recorded when earned/incurred , not when cash moves
Matching	Match expenses of a period to the revenues of the same period
Dual Aspect	Every transaction has two sides (the basis of double entry)
Conservatism / Prudence	Anticipate no profit but provide for all possible losses
Consistency	Use the same methods year to year
Materiality	Record what is significant enough to influence decisions

***Trap:** Concepts are assumptions (going concern, accrual); Conventions are practices (conservatism, consistency, materiality, full disclosure). Sorting the two is a stock question.*

7.4 Books, accounts & the final statements

Subsidiary books (special journals): Cash Book, Purchases Book, Sales Book, Purchase Returns, Sales Returns, Bills Receivable/Payable, Journal Proper. **Cash Book** is both a journal and a ledger.

Capital vs Revenue: *Capital expenditure* (buying a machine — benefit over years, goes to Balance Sheet) vs *Revenue expenditure* (repairs, salaries — benefit in one year, goes to P&L). Misclassifying the two is the most common trap.

The two final statements:

Statement	Answers	Contents
Trading A/c	Gross Profit?	Opening stock, purchases, direct expenses (Dr) vs Sales, closing stock (Cr) → Gross Profit/Loss
Profit & Loss A/c	Net Profit?	Gross Profit b/d + indirect incomes vs indirect/operating expenses → Net Profit/Loss
Balance Sheet	Financial position?	Assets = Liabilities + Capital ; a <i>snapshot</i> on one date

Key ratios (appear as one-liners): Gross Profit Ratio, Net Profit Ratio, Current Ratio (Current Assets ÷ Current Liabilities, ideal 2:1), Quick/Acid-test Ratio (1:1), Debt-Equity Ratio.

7.5 Inventory, depreciation & cash flow

Inventory valuation: **FIFO** (First-In-First-Out — in inflation, lower COGS, higher profit), **LIFO** (Last-In-First-Out — *not allowed under Ind-AS/IFRS*), **Weighted Average**. Rule: stock valued at **cost or net realisable value, whichever is lower** (conservatism in action).

Depreciation (spreading an asset's cost over its life): **Straight Line Method (SLM)** — equal amount each year = (Cost – Scrap)/Life; **Written Down Value (WDV)/Diminishing Balance** — fixed % on reducing book value (higher early, lower later). Causes: wear & tear, obsolescence, efflux of time.

Cash Flow Statement (AS-3 / Ind-AS 7) — three activities: **Operating** (core business), **Investing** (buy/sell assets), **Financing** (raise/repay capital & loans). Don't confuse with Fund Flow (working-capital based).

7.6 How these are tested

- **The equation:** "If assets = 5,00,000 and liabilities = 2,00,000, capital = ?" → 3,00,000.

- **Golden rule application:** "Cash received from Ramesh — which accounts?" → Debit Cash (real, comes in), Credit Ramesh (personal, giver).
- **Concept vs convention** sorting; "which concept treats owner & business as separate?" → Business Entity.
- **Capital vs revenue** expenditure classification.
- **Statement placement:** "Closing stock appears in?" → Trading A/c (Cr) **and** Balance Sheet (asset).
- **Method facts:** LIFO banned under Ind-AS; SLM vs WDV; FIFO effect in inflation.
- **Ratio formulas:** current ratio ideal 2:1.

7.7 Trap pairs

- **Debit the receiver vs Debit what comes in** — receiver applies to *personal* accounts, "comes in" to *real* accounts. Apply the right rule to the right account type.
- **Concept vs Convention** — going concern/accrual are concepts; conservatism/consistency/materiality are conventions.
- **Capital vs Revenue expenditure** — machine = capital (Balance Sheet); its repair = revenue (P&L).
- **FIFO vs LIFO** — in inflation FIFO gives higher profit; LIFO is disallowed under Indian/IFRS standards.
- **SLM vs WDV depreciation** — SLM = equal each year on cost; WDV = fixed % on reducing balance.
- **Trading A/c vs P&L A/c** — gross profit (direct items) vs net profit (indirect items).
- **Reserve vs Provision** — provision is a charge against profit for a known liability/loss; reserve is an appropriation of profit.

7.8 Self-test

1. State the accounting equation and rearrange it for Capital.
2. Apply the golden rules: "Paid rent in cash." Which account is debited, which credited, and of what type?
3. Is "going concern" a concept or a convention? What about "conservatism"?
4. Where does closing stock appear in the final accounts?
5. Which inventory method is disallowed under Ind-AS, and which gives higher profit in times of inflation?

Answers: 1) **Assets = Liabilities + Capital**; so **Capital = Assets – Liabilities**. 2) **Debit Rent A/c** (nominal — expense), **Credit Cash A/c** (real — goes out). 3) Going concern = **concept**; conservatism = **convention**. 4) **Trading A/c (credit side)** and **Balance Sheet (current asset)**. 5) **LIFO** is disallowed; **FIFO** gives higher profit in inflation.

7.9 One sentence to carry forever

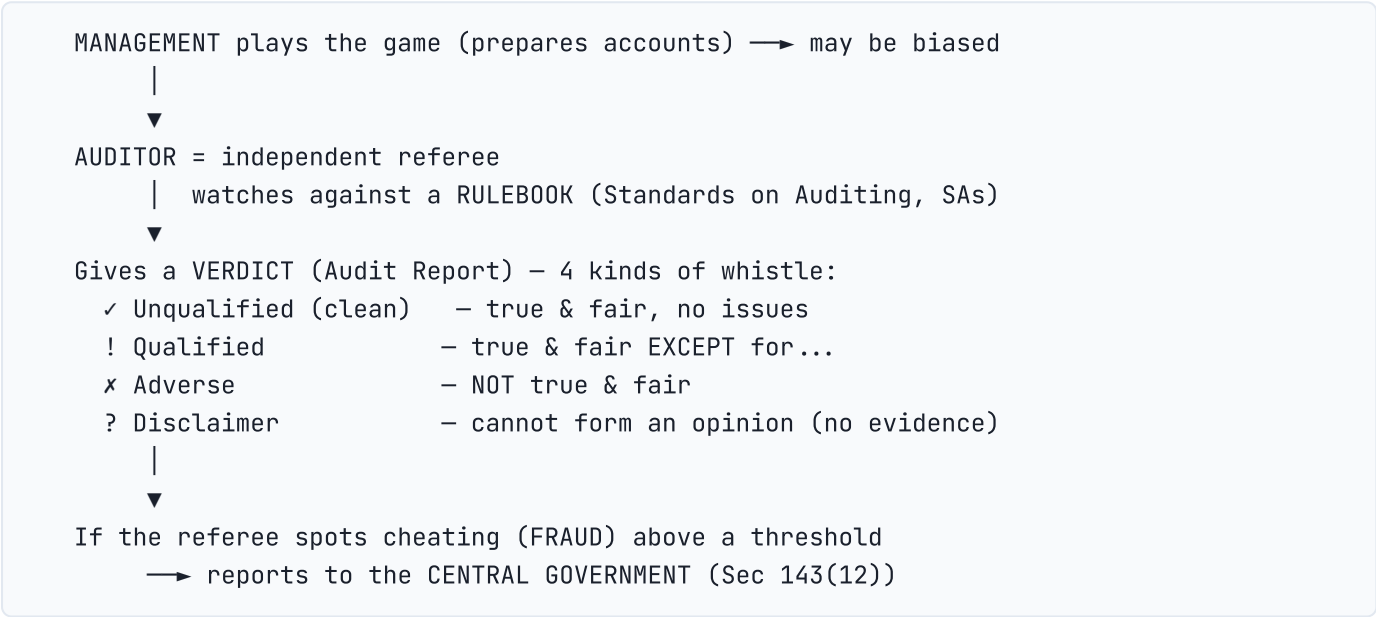
Assets = Liabilities + Capital can never break: every transaction flows as a double entry down the river — journal → ledger → trial balance → P&L (did we earn?) → Balance Sheet (what do we own and owe?).

CHAPTER 8 — Auditing Demystified

8.0 The 60-second picture

If accounting is *writing* the financial story (Chapter 7), auditing is *checking that the story is true*. An auditor is an independent referee who examines the books and gives one verdict — does the financial statement show a **"true and fair view"**? Everything in this chapter hangs on three pillars: **who appoints the auditor and for how long (Sec 139)**, **what the auditor must do and report (Sec 143)**, and **what happens when fraud is found**. Hold "independent referee giving a true-and-fair verdict" in your head and the section numbers slot in.

8.1 The mental model — the referee in the stadium



The exam tests the *rulebook references* (which section, which standard) and the *four whistles* (types of audit opinion). Master those two and auditing is done.

8.2 The story

Auditing exists because of a simple conflict of interest: the people who *prepare* the accounts (management) are the same people whose performance those accounts measure. Left unchecked, they may dress up the numbers. After a string of corporate collapses — globally Enron (2001), in India **Satyam (2009)** — the law tightened the referee's independence: fixed tenures, mandatory rotation, and a duty to *blow the whistle to the government* on fraud rather than quietly resign. The Companies Act 2013 is the current rulebook, and the **National Financial Reporting Authority (NFRA)**, created in 2018, now polices the auditors themselves. So the modern story is: *the referee now has a referee*.

8.3 The facts you actually need

Key Companies Act, 2013 sections:

Sect ion	What it covers
Sec 139	Appointment of auditor — by members at AGM; first auditor within 30 days of incorporation; tenure 5 years; rotation mandatory for listed/prescribed companies (individual = 1 term of 5 yrs; firm = 2 terms of 5 yrs)
Sec 140	Removal / resignation of auditor (needs central government + special resolution)

Section	What it covers
Sec 141	Eligibility & disqualifications — only a Chartered Accountant; not an officer/employee of the company
Sec 143	Powers & duties — right to access books; duty to report; 143(12) = report fraud to Central Government if $\geq ₹1$ crore
Sec 144	Services an auditor cannot also provide (no bookkeeping, internal audit, etc. — to protect independence)
Sec 147	Penalties for contravention
Sec 148	Cost audit

The four audit opinions (most-tested concept): **Unqualified/Clean** (true & fair) · **Qualified** ("true & fair except for...") · **Adverse** (not true & fair — material + pervasive misstatement) · **Disclaimer** (auditor cannot obtain enough evidence to form any opinion).

Standards & bodies: **ICAI** (Institute of Chartered Accountants of India, set up 1949) issues **Standards on Auditing (SAs)** and accounting standards; **NFRA** (2018) is the independent regulator overseeing auditors of large/listed companies; **CAG** audits government accounts (the public-sector auditor — recall Chapter 5, Art 148). **CARO 2020** (Companies Auditor's Report Order) = extra matters the auditor must report on.

Types of audit: Statutory (legally required), Internal (by the company's own staff, continuous), External/Independent, Cost (Sec 148), Secretarial, Performance/Efficiency, Government (CAG).

8.4 How these are tested

- **Section-to-function:** "Appointment of auditor is under which section?" → 139. "Reporting of fraud?" → 143(12). "Disqualifications?" → 141.
- **Rotation rule:** individual auditor 1 term, firm 2 terms (each 5 yrs) for listed companies.
- **Opinion type:** "Auditor concludes accounts are NOT true and fair → which report?" → **Adverse**. "Cannot get evidence → ?" → **Disclaimer**.
- **Who regulates auditors / who audits government:** NFRA / CAG.
- **Fraud threshold:** ₹1 crore → report to Central Government.

8.5 Trap pairs

- **Qualified vs Adverse vs Disclaimer** — Qualified = "except for" (mostly fine); Adverse = "not true & fair" (badly wrong); Disclaimer = "I cannot say" (no evidence). Don't confuse Adverse with Disclaimer.
- **Sec 139 vs 140 vs 141** — appointment / removal / disqualification. Sequential.
- **ICAI vs NFRA** — ICAI sets standards & trains CAs; NFRA is the independent statutory regulator (post-2018) that disciplines auditors of big companies.
- **Internal vs Statutory audit** — internal is voluntary/continuous, by own staff; statutory is mandatory, by an independent CA.
- **Accounting vs Auditing** — accounting *creates* the statements; auditing *verifies* them. The auditor does not prepare the accounts (Sec 144 bars it).

8.6 Self-test

1. Under which section is an auditor appointed, and what is the audit-firm rotation limit for a listed company?

2. Name the four types of audit opinion.
3. To whom and above what amount must an auditor report fraud, and under which sub-section?
4. Which body, created in 2018, regulates the auditors of large companies?
5. Who audits government accounts and under which Constitutional Article?

Answers: 1) **Sec 139**; an audit *firm* may serve **two terms of 5 years** (then mandatory rotation). 2) **Unqualified (clean), Qualified, Adverse, Disclaimer**. 3) **Central Government**, if fraud $\geq$ ₹1 crore, under **Sec 143(12)**. 4) **NFRA** (National Financial Reporting Authority). 5) **CAG**, under **Article 148**.

8.7 One sentence to carry forever

The auditor is an independent referee who, using the Standards on Auditing as a rulebook, blows one of four whistles on whether the accounts are "true and fair" — and on fraud $\geq$ ₹1 crore must whistle to the Central Government itself.

CHAPTER 9 — Insurance & Statistics for APFC

9.0 The 60-second picture

Two small-but-scoring topics share this chapter because both are about **managing uncertainty with numbers**. *Insurance* pools many people's small premiums to pay the unlucky few — the EPFO world itself runs an insurance scheme (EDLI, Chapter 1). *Statistics* turns a pile of numbers into one or two summary figures — a **central value** (mean/median/mode) and a **spread** (range/variance/SD). Picture insurance as a *shared umbrella fund* and statistics as a *way to describe a crowd with two numbers*, and both topics become quick marks.

9.1 The mental model — the umbrella fund + the crowd snapshot

```
INSURANCE = a shared umbrella fund
100 people each pay ₹100 → ₹10,000 pool
the 2 who get caught in the rain are paid from the pool
PRINCIPLE: "loss of the few, shared by many"
regulated by IRDAI (insurance) / PFRDA (pensions)

STATISTICS = describing a crowd with 2 numbers
CENTRE: where is the crowd standing? (Mean / Median / Mode)
SPREAD: how scattered are they? (Range / Variance / SD)
```

The exam asks you to *compute* a central value from a tiny data set, or to *sort* the definitions (which average is unaffected by extreme values? → median). Insurance questions are definitional (principles, types, regulator).

9.2 Insurance — the facts you actually need

Core principles (frequently tested):

Principle	Meaning
Utmost good faith (<i>uberrimae fidei</i>)	Both parties must disclose all material facts
Insurable interest	You can only insure something you'd suffer loss from
Indemnity	Compensation only up to actual loss (no profit from insurance) — applies to general, not life
Subrogation	After paying, the insurer steps into the insured's shoes to recover from a third party
Contribution	If multiple insurers cover the same risk, they share the claim
Proximate cause	The nearest/dominant cause of loss decides liability

Life vs General insurance: *Life* = long-term, not a contract of indemnity (you can't value a life), pays on death/maturity. *General (non-life)* = fire, marine, motor, health — contracts of indemnity, usually annual. **LIC** (1956, nationalised life) and **GIC** (general) are the public giants.

Regulator: IRDAI (Insurance Regulatory and Development Authority of India), HQ **Hyderabad**, established by the IRDA Act **1999**. Pensions are regulated separately by **PFRDA** (Pension Fund Regulatory & Development Authority — runs the NPS). Recall from Chapter 1 that **EDLI** is EPFO's own life-insurance-linked scheme.

9.3 Statistics — the facts you actually need

Measures of Central Tendency:

Measure	Definition	Formula / note
Mean	Arithmetic average	$\Sigma x \div n$; uses every value; affected by extremes
Median	Middle value when arranged in order	unaffected by extreme values; positional
Mode	Most frequently occurring value	can be more than one (bimodal)

Empirical relation: Mode = 3 Median – 2 Mean (for a moderately skewed distribution).

Measures of Dispersion (spread):

Measure	Meaning
Range	Highest – Lowest
Quartile Deviation	$(Q3 - Q1) \div 2$
Mean Deviation	Average of absolute deviations from mean/median
Variance	Average of squared deviations = σ^2
Standard Deviation (SD)	$\sqrt{\text{Variance}} = \sigma$; the most used measure of spread
Coefficient of Variation	$(SD \div \text{Mean}) \times 100$ — compares variability of two data sets

Worked micro-example. Data: 4, 6, 8, 10, 12. Mean = $40 \div 5 = 8$. Median (middle) = **8**. Range = $12 - 4 = 8$. SD: deviations $-4, -2, 0, 2, 4 \rightarrow$ squares $16, 4, 0, 4, 16 = 40$; variance = $40 \div 5 = 8$; SD = $\sqrt{8} \approx 2.83$.

9.4 How these are tested

- **Compute the average:** small data set $\rightarrow$ find mean/median/mode.
- **Which average resists extremes?** $\rightarrow$ Median.
- **Empirical relation:** Mode = 3 Median – 2 Mean.
- **Define a principle:** "Insurer recovering from a third party after paying = ?" $\rightarrow$ Subrogation. "No profit from insurance = ?" $\rightarrow$ Indemnity.
- **Indemnity applies to which?** General insurance, not life.
- **Regulator:** IRDAI (insurance), PFRDA (pensions); IRDAI HQ Hyderabad, est. 1999.

9.5 Trap pairs

- **Indemnity vs Subrogation vs Contribution** — indemnity = no profit; subrogation = insurer recovers from third party; contribution = insurers share. Easy to mix.
- **Mean vs Median vs Mode** — mean uses all values (extreme-sensitive); median is the middle (robust); mode is most frequent.
- **Variance vs SD** — SD is the *square root* of variance and is in the same unit as the data.
- **IRDAI vs PFRDA vs SEBI vs RBI** — insurance / pensions / securities-market / banking-and-currency regulators respectively.
- **Life vs General insurance** — life is not indemnity; general is.

9.6 Self-test

1. State the empirical relation between mode, median and mean.
2. Which measure of central tendency is least affected by extreme values?
3. Define subrogation in one line.
4. Which principle says you can profit nothing beyond your actual loss, and does it apply to life insurance?

5. Name the regulators of insurance and of pensions in India.

Answers: 1) **Mode = 3 Median – 2 Mean.** 2) **Median.** 3) After paying a claim, the **insurer steps into the insured's position to recover the loss from the third party responsible.** 4) **Indemnity;** it does **not** apply to life insurance. 5) Insurance = **IRDAI**; pensions = **PFRDA**.

9.7 One sentence to carry forever

Insurance is a shared umbrella fund where the loss of the few is paid by the many (regulated by IRDAI), and statistics describes any crowd with just two numbers — a centre (mean/median/mode) and a spread (range/variance/SD).

CHAPTER 10 — Modern India as One Narrative (1857-1947)

10.0 The 60-second picture

Don't memorise modern India as a list of dates — read it as **one story with three acts**. Act I: the British tighten control and Indians first revolt (1857 → Crown rule). Act II: educated Indians organise and the Congress is born, splitting into Moderates then Extremists (1885-1916). Act III: Gandhi arrives and turns elite politics into a *mass movement* (1917-1947), ending in Independence + Partition. If you can narrate the three acts in order, every date and leader finds its place.

10.1 The mental model — the three-act freedom film

ACT I (1757-1858) THE GRIP TIGHTENS

Plassey 1757 → Buxar 1764 → Company rule
→ REVOLT OF 1857 → Crown takes over (1858)

ACT II (1858-1916) INDIANS ORGANISE

INC founded 1885 (A.O. Hume)
Moderates (petitions) → Partition of Bengal 1905
→ Swadeshi → Extremists (Lal-Bal-Pal)
→ Muslim League 1906 → Lucknow Pact 1916

ACT III (1917-1947) THE MASS ERA (GANDHI)

Champaran 1917 → Rowlatt+Jallianwala 1919
→ Non-Cooperation 1920 → Civil Disobedience/Dandi 1930
→ Quit India 1942 → INDEPENDENCE + PARTITION 1947

The exam picks one node from this chain ("Who started the Swadeshi movement?", "Which session split the Congress?") — knowing the *chain* lets you answer even unfamiliar nodes by position.

10.2 Act I — Revolt of 1857 & Crown rule

Causes: political (Doctrine of Lapse — Dalhousie annexing states), economic (drain of wealth), social-religious (interference, fear of conversion), military (the **greased cartridge** spark — Enfield rifle, cow/pig fat).

Began 10 May 1857 at **Meerut**; **Mangal Pandey** at Barrackpore (29 March 1857) was the precursor. Symbolic leader: **Bahadur Shah Zafar** (last Mughal). Other leaders: Rani Lakshmibai (Jhansi), Tantia Tope, Nana Sahib, Begum Hazrat Mahal (Lucknow), Kunwar Singh (Bihar). **Result: Government of India Act 1858** — Company rule ended, Crown took over; Queen's Proclamation. Called the *First War of Independence* by V.D. Savarkar.

10.3 Act II — Congress, Moderates & Extremists

- **INC founded 1885** by **A.O. Hume**; first president **W.C. Bonnerjee** (Bombay session).
- **Moderates** (1885-1905): Dadabhai Naoroji ("Grand Old Man," *Drain Theory*), Gopal Krishna Gokhale, Pherozeshah Mehta — method: petitions, prayers ("3 P's").
- **Partition of Bengal (1905, Curzon)** → **Swadeshi & Boycott** movement → rise of **Extremists: Lal-Bal-Pal** (Lala Lajpat Rai, Bal Gangadhar Tilak — "Swaraj is my birthright," Bipin Chandra Pal) + Aurobindo.
- **Surat Split 1907** — Congress splits into Moderates and Extremists.
- **Muslim League founded 1906** (Dacca). **Lucknow Pact 1916** — Congress-League unity + Moderate-Extremist reunion.

10.4 Act III — the Gandhian mass movements

Movement	Year	Trigger / feature
Champaran Satyagraha	1917	Gandhi's first in India — indigo farmers, Bihar
Kheda + Ahmedabad	1918	peasants & mill workers
Rowlatt Act / Jallianwala Bagh	1919	"no appeal, no lawyer"; Amritsar massacre (Gen. Dyer)
Non-Cooperation + Khilafat	1920-22	surrender titles, boycott; called off after Chauri Chaura (1922)
Simon Commission	1928	"all-white," "Go back Simon"; Lala Lajpat Rai injured
Civil Disobedience / Dandi Salt March	1930	12 Mar–6 Apr, Sabarmati→Dandi, broke the salt law
Round Table Conferences	1930-32	London; Gandhi attended the 2nd
Govt of India Act 1935	1935	provincial autonomy; basis of the future Constitution
Quit India (Aug Kranti)	1942	"Do or Die"; mass arrests
INA / Subhas Bose	1943-45	"Give me blood, I'll give you freedom"; Azad Hind
Independence + Partition	1947	Mountbatten Plan; Indian Independence Act

Key sessions: Lahore 1929 (**Purna Swaraj**, tricolour hoisted, 26 Jan 1930 as first Independence Day); Karachi 1931 (Fundamental Rights resolution).

10.5 How these are tested

- **Trigger-to-event:** greased cartridge → 1857; Rowlatt Act → Jallianwala; Chauri Chaura → calling off Non-Cooperation.
- **Who-said-what:** "Swaraj is my birthright" → Tilak; "Do or Die" → Gandhi (Quit India); "Give me blood..." → Bose.
- **Founders/firsts:** INC 1885 (Hume); first president Bonnerjee; Muslim League 1906.
- **Act-to-feature:** Govt Act 1858 (Crown rule), 1935 (provincial autonomy).
- **Session-to-resolution:** Lahore 1929 → Purna Swaraj.

10.6 Trap pairs

- **1857 leaders by place** — Jhansi (Lakshmibai), Lucknow (Begum Hazrat Mahal), Kanpur (Nana Sahib), Bihar (Kunwar Singh). Match correctly.
- **Moderates vs Extremists** — petitions (Naoroji, Gokhale) vs Swaraj agitation (Lal-Bal-Pal). Surat Split 1907.
- **Non-Cooperation (1920) vs Civil Disobedience (1930)** — first was non-violent boycott; second deliberately *broke* laws (salt).
- **Govt Act 1858 vs 1919 vs 1935** — Crown rule / dyarchy in provinces / provincial autonomy.
- **Partition of Bengal (1905) vs Partition of India (1947)** — Curzon's administrative split vs the country's division.

10.7 Self-test

1. What was the immediate spark of the 1857 revolt, and what Act ended Company rule?
2. Who founded the INC and who was its first president?
3. Which event led Gandhi to call off the Non-Cooperation Movement?
4. At which session and year was "Purna Swaraj" declared the goal?

5. Match: "Swaraj is my birthright" and "Do or Die" to their authors.

Answers: 1) The **greased cartridge** (Enfield rifle); **Government of India Act 1858** ended Company rule. 2) **A.O. Hume**; first president **W.C. Bonnerjee**. 3) The **Chauri Chaura** incident (1922). 4) **Lahore session, 1929**. 5) "Swaraj is my birthright" = **Tilak**; "Do or Die" = **Gandhi** (Quit India, 1942).

10.8 One sentence to carry forever

Modern India is a three-act film — the British grip tightens and triggers 1857, educated Indians organise into the Congress (Moderates → Extremists), and Gandhi turns it into a mass movement that ends in freedom and Partition in 1947.

CHAPTER 11 — Ancient & Medieval India + Culture

11.0 The 60-second picture

Three thousand years compress into **one timeline of empires**, each leaving a cultural fingerprint. Picture a relay of dynasties: **Indus → Vedic → Mauryas → Guptas ("Golden Age") → Delhi Sultanate → Mughals**, then the regional kingdoms. Each handed the next a legacy — script, religion, architecture, administration. You don't need every king; you need the *sequence* and each empire's **one signature achievement**. Culture (dances, music, architecture, festivals) is the examiner's favourite niche — high-yield, under-prepared.

11.1 The mental model — the empire relay baton

INDUS VALLEY (2500 BCE) — planned cities, drainage, undeciphered script
▼
VEDIC AGE (1500-600 BCE) — Vedas, varna, Sanskrit, Aryans
▼
MAHAJANAPADAS → Jainism & Buddhism (6th c. BCE)
▼
MAURYAS (321 BCE) — Chandragupta+Chanakya; ASHOKA, edicts, dhamma
▼
GUPTAS (320 CE) — "GOLDEN AGE": zero, science, Sanskrit literature
▼
HARSHA → regional kingdoms → DELHI SULTANATE (1206) — 5 dynasties
▼
MUGHALS (1526 Babur) — Akbar to Aurangzeb; art, architecture

The exam picks one baton-pass ("Who founded the Maurya empire?", "Which Gupta ruler is the Golden Age?", "Who built the Qutub Minar?") — the relay tells you the answer's neighbourhood.

11.2 Ancient India — the signature facts

Indus Valley (Harappan, c. 2500-1900 BCE): planned grid cities, advanced **drainage**, the **Great Bath** (Mohenjodaro), granaries; sites — **Harappa & Mohenjodaro** (Pakistan), **Lothal** (dockyard, Gujarat), **Dholavira & Kalibangan** (India); script **undeciphered**; Bronze-Age, no temples/horses confirmed.

Vedic Age: four Vedas — **Rigveda** (oldest, hymns), Samaveda (music), Yajurveda (rituals), Atharvaveda; *varna* system; later Vedic → Upanishads.

Religions (6th c. BCE): **Jainism** — Mahavira (24th Tirthankara), *ahimsa*, Triratna; **Buddhism** — Gautama Buddha, **Four Noble Truths + Eightfold Path**, born Lumbini, enlightenment Bodh Gaya, first sermon Sarnath, death Kushinagar.

Mauryas (321-185 BCE): founded by **Chandragupta Maurya** (guided by **Chanakya/Kautilya**, author of *Arthashastra*). **Ashoka** — Kalinga War (261 BCE) → embraced Buddhism; rock & pillar **edicts** (Brahmi script); the **Lion Capital of Sarnath** = India's national emblem.

Guptas (320-550 CE) — the "Golden Age": **Chandragupta I**, **Samudragupta** ("Napoleon of India"), **Chandragupta II Vikramaditya**; concept of **zero & decimal**, **Aryabhata** (astronomy), **Kalidasa** (*Shakuntala*), Nalanda university flourished.

11.3 Medieval India — the signature facts

Delhi Sultanate (1206-1526) — five dynasties: **Slave/Mamluk** (Qutub-ud-din Aibak — began **Qutub Minar**; Iltutmish; Razia Sultana — first woman ruler) → **Khilji** (Alauddin — market reforms) → **Tughlaq** (Muhammad bin Tughlaq — capital shift to Daulatabad + token currency, both failed) → **Sayyid** → **Lodi** (Ibrahim Lodi — lost at Panipat 1526).

Mughals (1526-1857): **Babur** (won 1st Battle of Panipat 1526, founder) → **Humayun** → **Akbar** (greatest — *Din-i-Ilahi*, Mansabdari system, abolished *jizya*) → **Jahangir** → **Shah Jahan** (**Taj Mahal**, Red Fort) → **Aurangzeb** (largest extent, re-imposed *jizya*). **Vijayanagara** (Krishnadevaraya) & **Bahmani** kingdoms in the south; **Marathas** under **Shivaji** rose against the Mughals.

Bhakti & Sufi movements: Bhakti saints (Kabir, Tulsidas, Mirabai, Guru Nanak); Sufi orders (Chishti — Moinuddin Chishti at Ajmer) — both preached devotion over ritual, bridging communities.

11.4 Culture — the high-yield niche (examiner's favourite)

Classical dances (state → dance): Bharatanatyam (Tamil Nadu), Kathak (UP/North), Kathakali & **Mohiniyattam** (Kerala), Kuchipudi (Andhra), Odissi (Odisha), **Sattriya** (Assam), Manipuri (Manipur).

Classical music: **Hindustani** (North) vs **Carnatic** (South); the two great systems. Instruments and ragas occasionally asked.

Architecture styles: **Nagara** (North Indian temple, curvilinear shikhara), **Dravidian** (South, pyramidal gopuram), **Vesara** (hybrid, Deccan); Indo-Islamic (domes, arches) under the Sultanate/Mughals.

Folk & festivals (under-prepared, high-return): folk dances — Bhangra (Punjab), Garba (Gujarat), Bihu (Assam), Ghoomar (Rajasthan), Lavani (Maharashtra); festivals — Pongal, Onam, Bihu, Hornbill (Nagaland). Paintings — Madhubani (Bihar), Warli (Maharashtra), Pattachitra (Odisha), Tanjore (Tamil Nadu). UNESCO sites and GI tags are frequent picks.

11.5 How these are tested

- **Dynasty founder:** Maurya → Chandragupta; Mughal → Babur; Slave dynasty → Qutub-ud-din Aibak.
- **Signature achievement:** Gupta → zero/Golden Age; Ashoka → Lion Capital/edicts; Shah Jahan → Taj Mahal.
- **Dance/painting → state:** Sattriya → Assam; Madhubani → Bihar; Mohiniyattam → Kerala.
- **Buddhism milestones:** Lumbini (birth), Bodh Gaya (enlightenment), Sarnath (first sermon), Kushinagar (death).
- **Battle → year:** 1st Panipat 1526 (Babur). Kalinga 261 BCE (Ashoka).

11.6 Trap pairs

- **Mauryas vs Guptas** — Mauryas (Ashoka, edicts, 4th c. BCE) vs Guptas (Golden Age, science, 4th c. CE). Centuries apart, both "Chandragupta."
- **Qutub-ud-din vs Iltutmish** — Aibak *began* the Qutub Minar; Iltutmish *completed* it.
- **Nagara vs Dravidian vs Vesara** — North / South / hybrid temple styles.
- **Hindustani vs Carnatic** — North vs South classical music.
- **Bharatanatyam vs Mohiniyattam vs Kathakali** — all South but TN / Kerala-solo / Kerala-drama respectively.
- **Akbar vs Aurangzeb on jizya** — Akbar abolished it; Aurangzeb re-imposed it.

11.7 Self-test

1. Name two Indus Valley sites located in present-day India and the one with a dockyard.
2. Who founded the Maurya empire and who was his advisor?
3. Why are the Guptas called the "Golden Age"? Name one scientist of the era.
4. Match dances to states: Sattriya, Mohiniyattam, Kuchipudi.
5. Who began and who completed the Qutub Minar?

Answers: 1) **Lothal (dockyard), Dholavira, Kalibangan, Rakhigarhi** (any two in India; Lothal = dockyard). 2) **Chandragupta Maurya**, advised by **Chanakya (Kautilya)**. 3) For advances in **mathematics (zero/decimal), astronomy, Sanskrit literature**; scientist = **Aryabhata**. 4) Sattriya → **Assam**, Mohiniyattam → **Kerala**, Kuchipudi → **Andhra Pradesh**. 5) Begun by **Qutub-ud-din Aibak**, completed by **Iltutmish**.

11.8 One sentence to carry forever

Indian history is an empire relay — Indus → Vedic → Mauryas → Guptas (Golden Age) → Delhi Sultanate → Mughals — and culture is its fingerprint: learn the sequence, each empire's one signature, and the state-to-dance/painting map the examiner loves.

CHAPTERS 12-14 — Coming in the next build

The final stretch. Chapters 12-14 finish the mastery book on the same 8-section template:

- **Ch 12** — General Science Survival — Physics + Chemistry + Biology high-yield facts (units, laws, periodic table, human body)
- **Ch 13** — Current Affairs Framework + Govt Schemes Master — how to read the year + a single scheme table
- **Ch 14** — Computer Applications & Cyber Security — hardware, software, networking, security (links to the Computer Proficiency book)

***Why this pacing matters.** Read and self-test Chapters 8-11 now; the final three chapters then complete a book you already half-own.*

EXAM-DAY REFERENCE CARD — EPFO APFC

Print this page. Glance at it the morning of your exam. Everything here is a direct exam question in disguise.

Numbers you must know cold

Topic	The number	Trap to avoid
EPF Act year	1952	Not 1955 or 1962

Topic	The number	Trap to avoid
Coverage threshold	20+ employees	IR Code raises to 300 but EPF Act threshold stays 20
EPS wage cap	₹15,000/month	Not ₹6,500 (dead) or ₹21,000 (ESI threshold)
Employee contribution	12% of Basic+DA+RA	NOT 12% of gross salary
Employer split	8.33% EPS + 3.67% EPF = 12%; plus 0.50% EDLI + 0.50% Admin	Admin is on capped wage (max ₹75)
EDLI max payout	₹7 lakh	Formula-based; the 7 lakh is the cap
EPS pension formula	(Pensionable Salary × Service) / 70	Denominator 70, not 12 or 60
Min service for EPS pension	10 years	Less than 10 years → withdrawal benefit (Table D)
7Q interest rate	12% p.a. (mandatory)	Not discretionary; always mandatory
14B damages (post June 2024)	1% per month uniform	Old slab (5 - 25%) is dead
EPFO Ministry	Ministry of Labour and Employment	Not Finance or Commerce
EPF interest rate FY25	8.25%	Declared by CBT annually
Gratuity formula	15 days × years; max ₹20 lakh	5 years minimum service
Gratuity Act	1972	Not 1962 or 1965
Bonus Act eligibility wage	₹21,000/month	Not ₹7,000 (that is the calculation ceiling)
Minimum bonus	8.33% of wages (or ₹100 if > 8.33% works out below)	Max 20%; payable in 8 months of accounting year
Maternity leave (post 2017)	26 weeks	Was 12 weeks before 2017 amendment
Trade union min members	7 to apply	10% or 100 (whichever less) to sustain
AITUC founded	1920 — oldest union federation	BMS = 1955 = largest by membership
Standing Orders threshold (old IDA)	100 workers	IR Code 2020 = 300 workers
6-week strike notice	Public Utility Services only (old IDA)	IR Code = 60 days for ALL industries
Section 7A	Determination (APFC's quasi-judicial power)	Not prosecution — that is Sec 14

The 5-second decision tree for EPF numerical Qs

Q asks for EPS contribution on salary X?

→ Is $X > ₹15,000$?

YES → use ₹15,000 as base → $EPS = 8.33\% \times 15,000 = ₹1,250$

NO → $EPS = 8.33\% \times X$

Q asks for EPF contribution (employee side)?

→ Always $12\% \times (\text{Basic} + \text{DA} + \text{RA})$, regardless of salary

Q asks for EDLI payout?

→ Formula: $30 \times \text{average monthly wage of last 12 months} + \text{bonus (max ₹7 lakh total)}$

Three common "which section" patterns

What happened	Answer
APFC fixes amount of default	Section 7A
12% interest charged on delayed deposit	Section 7Q
Penal damages for delayed deposit	Section 14B
Criminal prosecution of employer	Section 14
Employer's directors personally liable	Section 14A
Default discovered much later	Section 7C
Employer seeks exemption to run own trust	Section 17

End of this build — Chapters 1-11 ready for study
